

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2022



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2022



General Purpose Financial Statements

for the year ended 30 June 2022

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2022

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to Section 413 (2c) of the Local Government Act 1993 (NSW)

The attached general purpose financial statements have been prepared in accordance with:

- the Local Government Act 1993 and the regulations made thereunder, • the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board • the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council on 14 September 2022.



Clr Margaret Roles
Mayor
28 February 2023



Anthony O'Reilly
General Manager
28 February 2023



Clr Alison Foreman
Councillor
28 February 2023



Norman Smith
Responsible Accounting Officer
28 February 2023

Hilltops Council

Income Statement

for the year ended 30 June 2022

Original unaudited budget 2022	\$ '000	Notes	Actual 2022	Actual 2021
	Income from continuing operations			
24,381	Rates and annual charges	B2-1	24,636	23,964
10,946	User charges and fees	B2-2	11,249	8,674
–	Other revenues	B2-3	1,755	946
14,084	Grants and contributions provided for operating purposes	B2-4	21,750	17,255
33,433	Grants and contributions provided for capital purposes	B2-4	38,612	17,976
157	Interest and investment income	B2-5	342	236
861	Other income	B2-6	684	616
83,862	Total income from continuing operations		99,028	69,667
	Expenses from continuing operations			
18,287	Employee benefits and on-costs	B3-1	17,161	19,903
13,856	Materials and services	B3-2	20,445	17,608
539	Borrowing costs	B3-3	575	720
17,880	Depreciation, amortisation and impairment of non-financial assets	B3-4	18,129	16,908
6,150	Other expenses	B3-5	1,085	1,309
–	Net loss from the disposal of assets	B4-1	1,416	842
56,712	Total expenses from continuing operations		58,811	57,290
27,150	Operating result from continuing operations		40,217	12,377
27,150	Net operating result for the year attributable to Council		40,217	12,377
(6,283)	Net operating result for the year before grants and contributions provided for capital purposes		1,605	(5,599)

The above Income Statement should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Comprehensive Income

for the year ended 30 June 2022

\$ '000	Notes	2022	2021
Net operating result for the year – from Income Statement		40,217	12,377
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain on revaluation of infrastructure, property, plant and equipment	C1-7	29,997	805
Total items which will not be reclassified subsequently to the operating result		29,997	805
Total other comprehensive income for the year		29,997	805
Total comprehensive income for the year attributable to Council		70,214	13,182

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Financial Position

as at 30 June 2022

\$ '000	Notes	2022	2021
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	20,811	9,805
Investments	C1-2	20,772	27,015
Receivables	C1-4	9,145	9,881
Inventories	C1-5	895	958
Contract assets and contract cost assets	C1-6	9,749	5,878
Total current assets		61,372	53,537
Non-current assets			
Receivables	C1-4	244	—
Infrastructure, property, plant and equipment (IPPE)	C1-7	718,273	659,152
Right of use assets	C2-1	71	496
Total non-current assets		718,588	659,648
Total assets		779,960	713,185
LIABILITIES			
Current liabilities			
Payables	C3-1	3,927	4,940
Contract liabilities	C3-2	8,219	8,010
Lease liabilities	C2-1	21	137
Borrowings	C3-3	1,853	1,872
Employee benefit provisions	C3-4	5,223	5,971
Provisions	C3-5	1,183	1,231
Total current liabilities		20,426	22,161
Non-current liabilities			
Payables	C3-1	72	82
Lease liabilities	C2-1	50	385
Borrowings	C3-3	13,664	15,310
Employee benefit provisions	C3-4	1,368	1,596
Provisions	C3-5	9,945	9,430
Total non-current liabilities		25,099	26,803
Total liabilities		45,525	48,964
Net assets		734,435	664,221
EQUITY			
Accumulated surplus		619,096	578,094
IPPE revaluation reserve		115,339	85,342
Other reserves		—	785
Council equity interest		734,435	664,221
Total equity		734,435	664,221

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Changes in Equity

for the year ended 30 June 2022

\$ '000	Notes	2022				2021			
		Accumulated surplus	IPPE revaluation reserve	Financial assets at FVOCI	Total equity	Accumulated surplus	IPPE revaluation reserve	Financial assets at FVOCI	Total equity
Opening balance at 1 July		578,094	85,342	785	664,221	565,717	84,537	785	651,039
Restated opening balance		578,094	85,342	785	664,221	565,717	84,537	785	651,039
Net operating result for the year		40,217	–	–	40,217	12,377	–	–	12,377
Net operating result for the period		40,217	–	–	40,217	12,377	–	–	12,377
Other comprehensive income									
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	29,997	–	29,997	–	805	–	805
Other reserves movements		785	–	(785)	–	–	–	–	–
Restated Other comprehensive income		785	29,997	(785)	29,997	–	805	–	805
Total comprehensive income		41,002	29,997	(785)	70,214	12,377	805	–	13,182
Closing balance at 30 June		619,096	115,339	–	734,435	578,094	85,342	785	664,221

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Cash Flows

for the year ended 30 June 2022

Original unaudited budget 2022	\$ '000	Notes	Actual 2022	Actual 2021
Cash flows from operating activities				
Receipts:				
24,381	Rates and annual charges		24,869	23,476
10,946	User charges and fees		11,063	9,167
157	Interest received		365	278
47,517	Grants and contributions		37,332	33,684
–	Bonds, deposits and retentions received		–	39
861	Other		3,054	6,355
Payments:				
(18,181)	Payments to employees		(18,069)	(19,387)
(13,856)	Payments for materials and services		(21,559)	(19,993)
(539)	Borrowing costs		(96)	(628)
–	Bonds, deposits and retentions refunded		(133)	–
(6,150)	Other		(733)	(1,767)
45,136	Net cash flows from operating activities	G1-1	36,093	31,224
Cash flows from investing activities				
Receipts:				
20,069	Sale of investments		–	–
–	Redemption of term deposits		6,243	–
254	Proceeds from sale of IPPE		283	164
Payments:				
(5,710)	Purchase of investments		–	–
–	Acquisition of term deposits		–	(13,052)
(58,200)	Payments for IPPE		(29,678)	(28,544)
–	Deferred debtors and advances made		(223)	–
(43,587)	Net cash flows from investing activities		(23,375)	(41,432)
Cash flows from financing activities				
Payments:				
(1,872)	Repayment of borrowings		(1,665)	(1,912)
–	Principal component of lease payments		(47)	(123)
(1,872)	Net cash flows from financing activities		(1,712)	(2,035)
(323)	Net change in cash and cash equivalents		11,006	(12,243)
9,805	Cash and cash equivalents at beginning of year		9,805	22,048
9,482	Cash and cash equivalents at end of year	C1-1	20,811	9,805

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Hilltops Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 31 October 2022. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the Office of Local Government (OLG) directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (Act)* and *Local Government (General) Regulation 2005 (Regulation)*, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- i. estimated fair values of infrastructure, property, plant and equipment – refer Note C1-8
- ii. estimated tip remediation provisions – refer Note C3-5
- iii. employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- i. Impairment of receivables – refer Note C1-4.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

General purpose operations
 Water service
 Sewerage service
 Section 355 Committees of Council
 South West Regional Waste Management Group
 South West Rural Fire Service

A1-1 Basis of preparation (continued)

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority, are presented as operating cash flows.

Volunteer services

Council's Tourist centre and community operations use volunteers to assist in their operation. The inconsistency and variability of times worked provides these activities with assistance when required. The value of volunteer labour is considered not material due to the use being minor or not reliably measureable.

New accounting standards and interpretations issued but not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2022 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

Council's assessment of these new standards and interpretations (where they have been deemed as having a material impact on Council's future financial performance, financial position and cash flows) are set out below:

AASB 2020-1 Amendments to Australian Accounting Standards – Classification of Liabilities as Current or Non-current

AASB 2020-6 Amendments to Australian Accounting Standards – Classification of Liabilities as Current or Non-current – Deferral of Effective Date

This Standard amends AASB 101 Presentation of Financial Statements to clarify requirements for the presentation of liabilities in the statement of financial position as current or non-current.

For example the amendments clarify that a liability is classified as non-current if an entity has the right at the end of the reporting period to defer settlement of the liability for at least 12 months after the reporting period. The meaning of settlement of a liability is also clarified.

Council does not expect any material impact from the above amendments and to its classification of liabilities as current or non-current.

This standard has an effective date for the 30 June 2024 reporting period.

AASB 2020-3 Amendments to Australian Accounting Standards – Annual Improvements 2018 -2020 and Other Amendments

This Standard amends a number of standards as follows:

- AASB 1 to simplify the application of AASB 1 by a subsidiary that becomes a first-time adopter after its parent in relation to the measurement of cumulative translation differences,
- AASB 3 to update a reference to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations,

A1-1 Basis of preparation (continued)

- AASB 9 to clarify the fees an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability,
- AASB 116 to require an entity to recognise the sales proceeds from selling items produced while preparing property, plant and equipment for its intended use and the related cost in profit or loss, instead of deducting the amounts received from the cost of the asset,
- AASB 137 to specify the costs that an entity includes when assessing whether a contract will be loss-making and
- AASB 141 to remove the requirement to exclude cash flows from taxation when measuring fair value, thereby aligning the fair value measurement requirements in AASB 141 with those in other Australian Accounting Standards.

Council does not expect any material impact from the above amendments.

This standard has an effective date for the 30 June 2023 reporting period.

New accounting standards adopted during the year

During the year Council adopted the following accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective from 1 July 2021:

- *AASB 2020-8 Amendments to Australian Accounting Standards – Interest Rate Benchmark Reform – Phase 2*
- *AASB 2020-9 Amendments to Australian Accounting Standards – Tier 2 Disclosures: Interest Rate Benchmark Reform (Phase 2) and Other Amendments*
- *AASB 2020-7 Amendments to Australian Accounting Standards – COVID-19 Related Rent Concessions: Tier 2 disclosures [AASB 16 and AASB 1060]*
- *AASB 2021-3 Amendments to Australian Accounting Standards – COVID-19 Related Rent Concessions beyond 30 June 2021*
- *AASB 2021-1 Amendments to Australian Accounting Standards – Transition to Tier 2: Simplified Disclosures for Not-for-Profit Entities*

The adopted standards are not expected to have a material impact on Council's reported financial position, financial performance and/or associated financial statement disclosures.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

\$ '000	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
Functions or activities										
Governance	1,831	1,452	907	923	924	529	–	–	–	–
Administration	1,962	4,125	7,169	4,386	(5,207)	(261)	1,939	600	99,278	112,436
Public Order and Safety	993	941	108	61	885	880	927	893	28	76
Health	40	70	608	967	(568)	(897)	–	–	–	–
Environment	6,561	6,334	7,462	7,998	(901)	(1,664)	2,245	2,068	22,054	17,861
Community Services and Education	–	23	209	528	(209)	(505)	26	2	–	–
Housing and community amenities	635	931	1,509	1,318	(874)	(387)	10	454	3,453	2,628
Water Supplies	9,008	8,378	8,533	8,631	475	(253)	331	249	63,826	63,090
Sewerage Supplies	4,759	4,506	1,895	2,001	2,864	2,505	133	49	54,713	55,431
Recreation and culture	501	2,480	6,746	4,419	(6,245)	(1,939)	771	6,515	37,552	28,483
Mining, manufacturing and construction	315	200	884	1,345	(569)	(1,145)	5	–	1,435	1,032
Transport and communication	46,140	17,695	20,253	19,966	25,887	(2,271)	42,883	15,958	487,570	432,025
Economic affairs	1,153	1,113	2,528	4,747	(1,375)	(3,634)	228	82	123	123
General purpose Income	25,130	21,419	–	–	25,130	21,419	10,864	8,361	–	–
Other	–	–	–	–	–	–	–	–	9,928	–
Total functions and activities	99,028	69,667	58,811	57,290	40,217	12,377	60,362	35,231	779,960	713,185

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, and any Council policy compliance.

Public order and safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community services and education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; childrens services; and other children services.

Housing and community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water supplies

Includes the provision of water to customers.

Sewerage supplies

Includes the provision of a sewerage service.

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Mining, manufacturing and construction

Includes building control, quarries and pits.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

B2 Sources of income

B2-1 Rates and annual charges

\$ '000	2022	2021
Ordinary rates		
Residential	5,077	4,942
Farmland	7,217	7,099
Business	1,317	1,301
Mining	21	20
Less: pensioner rebates (mandatory)	(327)	(478)
Rates levied to ratepayers	13,305	12,884
Pensioner rate subsidies received	188	182
Total ordinary rates	13,493	13,066
Special rates		
Stormwater levy	122	125
Rates levied to ratepayers	122	125
Total special rates	122	125
Annual charges		
(pursuant to s.496, s.496A, s.496B, s.501 & s.611)		
Domestic waste management services	2,574	2,517
Water supply services	3,379	3,238
Waste management services (non-domestic)	48	48
Section 611 charges	10	10
Sewerage services	4,642	4,449
Recycling	284	102
Greenwaste	266	435
Less: pensioner rebates (mandatory)	(380)	(244)
Annual charges levied	10,823	10,555
Pensioner subsidies received:		
– Water	70	73
– Sewerage	60	62
– Domestic waste management	68	83
Total annual charges	11,021	10,773
Total rates and annual charges	24,636	23,964

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

\$ '000	2022	2021
Specific user charges		
(per s.502 - specific 'actual use' charges)		
Waste management services (non-domestic)	48	49
Water supply services	4,745	4,420
Total specific user charges	4,793	4,469
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s.608)		
Building regulation	1	13
Inspection services	115	97
Planning and building regulation	420	368
Private works – section 67	171	318
Regulatory/ statutory fees	1	6
Section 149 certificates (EPA Act)	68	71
Section 603 certificates	83	93
Town planning	1	11
Animal	11	15
Total fees and charges – statutory/regulatory	871	992
(ii) Fees and charges – other (incl. general user charges (per s.608))		
Cemeteries	371	312
Recycling income (non-domestic)	–	15
Tourism	29	3
Waste disposal tipping fees	1,134	945
Caravan park	210	249
Leaseback fees – Council vehicles	75	82
Library and art gallery	7	7
Park rents	33	33
TfNSW (formerly RMS) charges (state roads not controlled by Council)	3,486	1,337
Sundry sales	4	–
Swimming centres	58	62
Water connection fees	92	52
Truckwash	12	13
Septic tank fees	15	29
Sewer plan fees	32	56
Sewer connection fees	–	14
Other	27	4
Total fees and charges – other	5,585	3,213
Total other user charges and fees	6,456	4,205
Total user charges and fees	11,249	8,674
Timing of revenue recognition for user charges and fees		
User charges and fees recognised over time	2,795	2,550
User charges and fees recognised at a point in time	8,454	6,124
Total user charges and fees	11,249	8,674

Accounting policy

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

B2-2 User charges and fees (continued)

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

\$ '000	2022	2021
Fines – parking	–	2
Fines – other	20	25
Legal fees recovery – rates and charges (extra charges)	120	–
Commissions and agency fees	54	43
Diesel rebate	487	–
Insurance claims recoveries	6	276
Legal fees recovery – other	1	–
Sales – general	77	140
Other	664	4
Insurance incentives and rebates	3	178
Section 355 committee	51	14
Sale of garbage bins	19	9
Training incentives	5	–
Worker health and safety incentives	63	3
Workers compensation reimbursement	185	252
Total other revenue	1,755	946
Timing of revenue recognition for other revenue		
Other revenue recognised over time	1,755	946
Other revenue recognised at a point in time	–	–
Total other revenue	1,755	946

Accounting policy for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

\$ '000	Operating 2022	Operating 2021	Capital 2022	Capital 2021
General purpose grants and non-developer contributions (untied)				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	2,890	2,624	–	–
Financial assistance – local roads component	1,338	1,413	–	–
Payment in advance - future year allocation				
Financial assistance – local roads component	2,393	1,509	–	–
Financial assistance – general component	4,444	2,815	–	–
Amount recognised as income during current year	11,065	8,361	–	–
Special purpose grants and non-developer contributions (tied)				
Cash contributions				
Previously specific grants:				
Water supplies	89	89	–	–
Library – special projects	–	–	33	30
Recreation and culture	–	–	278	1,848
Storm/flood damage	2,152	495	497	–
Bushfire and emergency services	602	614	265	251
Employment and training programs	8	9	–	–
Heritage and cultural	11	22	–	–
Library – per capita	87	69	–	–
LIRS subsidy	53	121	–	–
Noxious weeds	189	75	–	–
Street lighting	102	100	–	–
Transport (other roads and bridges funding)	–	–	14,340	9,357
Youth services	25	2	–	–
Stronger Community Funds	–	–	1,812	4,254
Other specific grants	315	248	25	33
Transport (roads to recovery)	1,167	2,065	–	–
Previously contributions:				
Community services	1	1	–	–
Drought Assistance	20	100	302	578
Other councils – joint works/services	1,988	1,820	–	–
Recreation and culture	6	1	–	–
Other contributions	1	(5)	–	(100)
Transport for NSW contributions (regional roads, block grant)	3,844	3,057	694	912
Sewerage (excl. section 64 contributions)	–	–	30	–
Water supplies (excl. section 64 contributions)	–	–	15	–
Waste	25	11	–	–
Other	–	–	–	8
Total special purpose grants and non-developer contributions – cash	10,685	8,894	18,291	17,171
Non-cash contributions				
Roads and bridges	–	–	19,252	–
Total other contributions – non-cash	–	–	19,252	–
Total special purpose grants and non-developer contributions (tied)	10,685	8,894	37,543	17,171
Total grants and non-developer contributions	21,750	17,255	37,543	17,171

B2-4 Grants and contributions (continued)

\$ '000	Operating 2022	Operating 2021	Capital 2022	Capital 2021
Comprising:				
– Commonwealth funding	12,232	10,426	302	2,708
– State funding	7,498	4,507	17,989	14,462
– Other funding	2,020	2,322	–	1
- Non Cash Asset Contributions	–	–	19,252	–
	21,750	17,255	37,543	17,171

B2-4 Grants and contributions (continued)

Developer contributions

\$ '000	Notes	Operating 2022	Operating 2021	Capital 2022	Capital 2021
Developer contributions:	G4				
(s7.4 & s7.11 - EP&A Act, s64 of the LGA):					
Cash contributions					
S 7.11 – contributions towards amenities/services		–	–	24	326
S 64 – sewerage service contributions		–	–	69	49
S 7.4 – contributions using planning agreements		–	–	319	–
S 7.12 – fixed development consent levies		–	–	519	388
S 64 – water supply contributions		–	–	138	42
Total developer contributions – cash		–	–	1,069	805
Total developer contributions		–	–	1,069	805
Total contributions		–	–	1,069	805
Total grants and contributions		21,750	17,255	38,612	17,976
Timing of revenue recognition for grants and contributions					
Grants and contributions recognised over time		20,743	15,814	22,232	4,451
Grants and contributions recognised at a point in time		1,007	1,441	16,380	13,525
Total grants and contributions		21,750	17,255	38,612	17,976

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

\$ '000	Operating 2022	Operating 2021	Capital 2022	Capital 2021
Unspent grants and contributions				
Unspent funds at 1 July	204	201	–	–
Less: Funds received in prior year but revenue recognised and funds spent in current year	–	–	–	–
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	398	52	–	–
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(39)	(49)	–	–
Unspent funds at 30 June	563	204	–	–
Contributions				
Unspent funds at 1 July	3,719	3,012	–	–
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	1,088	839	–	–
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	(68)	(132)	–	–
Unspent contributions at 30 June	4,739	3,719	–	–

Council has contributions under S7.11 and S7.12 that will be spent in the future in accordance with Councils adopted contributions plan.

Accounting policy

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include the provision of road and recreation assets. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

B2-4 Grants and contributions (continued)

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

\$ '000	2022	2021
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	196	40
– Cash and investments	140	195
– Other	6	1
Total interest and investment income (losses)	342	236
Interest and investment income is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	111	17
General Council cash and investments	114	49
Restricted investments/funds – external:		
Development contributions		
– Section 7.11	15	11
Water fund operations	63	93
Sewerage fund operations	23	38
South West Regional Waste Management Group	16	28
Total interest and investment income	342	236

Accounting policy

Interest income is recognised using the effective interest rate at the date that interest is earned.

Dividends are recognised as income in profit or loss when the shareholder's right to receive payment is established unless the dividend clearly represents a recovery of part of the cost of the investment.

B2-6 Other income

\$ '000	Notes	2022	2021
Reversal of impairment losses on receivables			
Other		3	6
Total reversal of impairment losses on receivables	C1-4	3	6
Rental income			
Other lease income			
Room/Facility Hire		681	610
Total other lease income		681	610
Total rental income	C2-2	681	610
Total other income		684	616

B3 Costs of providing services

B3-1 Employee benefits and on-costs

\$ '000	2022	2021
Salaries and wages	15,396	18,298
Travel expenses	19	7
Employee leave entitlements (ELE)	1,504	2,769
Superannuation	1,619	1,758
Workers' compensation insurance	1,022	1,440
Fringe benefit tax (FBT)	90	90
Payroll tax	112	80
Training costs (other than salaries and wages)	191	232
Protective clothing	61	84
WH&S expenses	76	23
Other	106	91
Total employee costs	20,196	24,872
Less: capitalised costs	(3,035)	(4,969)
Total employee costs expensed	17,161	19,903
Number of 'full-time equivalent' employees (FTE) at year end	198	229

Accounting policy

Employee benefit expenses are recorded when the service has been provided by the employee.

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

\$ '000	Notes	2022	2021
Previously other expenses:			
Raw materials and consumables		27,447	22,136
Contractor and consultancy costs		6,378	6,292
– RTA works		731	37
– Private works		29	72
– Security services		36	41
– IT support services		432	447
– Town planning		217	107
– Regional landfill receival charges		1,413	900
– Waste haulage		1,386	1,117
Audit Fees	F2-1	208	191
Advertising		64	65
Bank charges		71	70
Cost of sales		51	82
Computer software charges		58	89
Election expenses		197	–
Electricity and heating		706	724
Insurance		1,305	878
Office expenses (including computer expenses)		2	47
Postage		80	97
Printing and stationery		63	81
Street lighting		245	217
Subscriptions and publications		174	171
Telephone and communications		301	381
Other expenses		262	133
Councillor and Mayoral fees and associated expenses	F1-2	154	167
Valuation fees – land rates		92	89
Licence fees		109	93
Lease property		39	19
Promotion and trade fairs		67	24
Legal expenses:			
Expenses from short-term leases		21	12
– Legal expenses: planning and development		74	101
– Legal expenses: debt recovery		3	–
– Legal expenses: other		14	229
Water acquisition costs		1,067	1,151
Water purchase		2,921	2,661
Other		1	–
Total materials and services		46,418	38,921
Less: capitalised costs		(25,973)	(21,313)
Total materials and services		20,445	17,608

Accounting policy

Expenses are recorded on an accruals basis as the Council receives the goods or services.

B3-3 Borrowing costs

\$ '000	Notes	2022	2021
(i) Interest bearing liability costs			
Interest on leases		1	32
Interest on loans		538	635
Total interest bearing liability costs		539	667
Total interest bearing liability costs expensed		539	667
(ii) Other borrowing costs			
Discount adjustments relating to movements in provisions (other than ELE)			
– Remediation liabilities	C3-5	36	53
Total other borrowing costs		36	53
Total borrowing costs expensed		575	720

Accounting policy

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

B3-4 Depreciation, amortisation and impairment of non-financial assets

\$ '000	Notes	2022	2021
Depreciation and amortisation			
Plant and equipment		2,171	2,293
Office equipment		120	109
Furniture and fittings		24	24
Land improvements (depreciable)		39	9
Infrastructure:	C1-7		
– Buildings – non-specialised		2,919	2,833
– Buildings – specialised		699	656
– Other structures		408	395
– Roads		7,057	6,478
– Bridges		606	606
– Footpaths		134	119
– Stormwater drainage		311	310
– Water supply network		998	974
– Sewerage network		1,386	1,325
– Swimming pools		266	214
– Other open space/recreational assets		391	354
Right of use assets	C2-1	21	132
Other assets:			
– Library books		78	66
Reinstatement, rehabilitation and restoration assets:			
– Tip assets	C3-5,C1-7	417	–
– Quarry assets	C3-5,C1-7	84	11
Total gross depreciation and amortisation costs		18,129	16,908
Total depreciation and amortisation costs		18,129	16,908
Total depreciation, amortisation and impairment for non-financial assets		18,129	16,908

Accounting policy

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-8 for IPPE assets.

B3-4 Depreciation, amortisation and impairment of non-financial assets (continued)

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Intangible assets not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

B3-5 Other expenses

\$ '000	Notes	2022	2021
Impairment of receivables			
User charges and fees		146	47
Total impairment of receivables	C1-4	146	47
Other			
Contributions/levies to other levels of government			
– Emergency services levy (includes FRNSW, SES, and RFS levies)		722	1,063
– Other contributions/levies		4	18
Donations, contributions and assistance to other organisations (Section 356)		82	87
– ROC membership		23	27
– Section 355 committees and community events		20	19
– Shires Association		43	48
Boorowa Galong rail trail		45	–
Total other		939	1,262
Total other expenses		1,085	1,309

Accounting policy

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

B4 Gains or losses

B4-1 Gain or loss from the disposal, replacement and de-recognition of assets

\$ '000	Notes	2022	2021
Gain (or loss) on disposal of plant and equipment	C1-7		
Proceeds from disposal – plant and equipment		283	164
Less: carrying amount of plant and equipment assets sold/written off		(118)	(1,006)
Gain (or loss) on disposal		165	(842)
Gain (or loss) on disposal of infrastructure	C1-7		
Less: carrying amount of infrastructure assets sold/written off		(1,607)	–
Gain (or loss) on disposal		(1,607)	–
Gain (or loss) on Disposal of Right of Use Assets			
Less: carrying amount of Right of use assets sold/written off		26	–
Gain (or loss) on disposal		26	–
Net gain (or loss) from disposal of assets		(1,416)	(842)

Accounting policy

Gains and losses on disposals are determined by comparing proceeds with carrying amount. The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 30/06/2021 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2022 Budget	2022 Actual	2022 ----- Variance -----	
Revenues				
Other revenues	–	1,755	1,755	∞ F
Offset by movements in other income as well as increased diesel rebate, and other reimbursements				
Operating grants and contributions	14,084	21,750	7,666	54% F
Increase in Financial Assistance Grant of \$2.7K, increased RMS Contributions of \$2.1K and increased storm damage grants of \$1.6K.				
Capital grants and contributions	33,433	38,612	5,179	15% F
Council recognised an unbudgeted \$19.2M contribution to roads. Expected Bridge construction was prevented from being completed due to inclement weather of \$10M.				
Interest and investment revenue	157	342	185	118% F
Council obtained better returns on its investments than budgeted and recognised more interest on outstanding rates.				
Other income	861	684	(177)	(21)% U
Offset by other revenues.				

B5-1 Material budget variations (continued)

\$ '000	2022 Budget	2022 Actual	2022 ----- Variance -----	
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Expenses

Materials and services	13,856	20,445	(6,589)	(48)%	U
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This item needs to be read in conjunction with other expenses to note a total variation well under 10%.

Other expenses	6,150	1,085	5,065	82%	F
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This item needs to be read in conjunction with materials and services to note a total variation well under 10%.

Net losses from disposal of assets	–	1,416	(1,416)	∞	U
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This item is due to the contribution of road assets totalling \$19.2M, which required the write off of previous values.

Statement of cash flows

Cash flows from operating activities	45,136	36,093	(9,043)	(20)%	U
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Councils cashflows were down by approximately \$10M due to inclement weather postponing major bridgeworks.

Cash flows from investing activities	(43,587)	(23,375)	20,212	(46)%	F
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Council was unable to complete capital projects totalling \$20M from an original budget of \$44M resulting in an improved cash flow.

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

\$ '000	2022	2021
Cash assets		
Cash on hand and at bank	14,647	7,805
Cash equivalent assets		
– Short-term deposits	6,164	2,000
Total cash and cash equivalents	20,811	9,805

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	20,811	9,805
Balance as per the Statement of Cash Flows	20,811	9,805

Accounting policy

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

C1-2 Financial investments

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Debt securities at amortised cost				
Long term deposits	20,772	–	27,015	–
Total	20,772	–	27,015	–
Total financial investments	20,772	–	27,015	–
Total cash assets, cash equivalents and investments	41,583	–	36,820	–

Accounting policy

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

C1-2 Financial investments (continued)

Amortised cost

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

C1-3 Restricted and allocated cash, cash equivalents and investments

\$ '000	2022	2021
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	41,583	36,820
Less: Externally restricted cash, cash equivalents and investments	(35,273)	(32,138)
Cash, cash equivalents and investments not subject to external restrictions	6,310	4,682

External restrictions

External restrictions – included in liabilities

External restrictions included in cash, cash equivalents and investments above comprise:

Specific purpose unexpended loans – general	71	176
Specific purpose unexpended loans – water	1,453	2,440
Specific purpose unexpended loans – sewer	670	3,174
Specific purpose unexpended grants – general fund	563	204
External restrictions – included in liabilities	2,757	5,994

External restrictions – other

External restrictions included in cash, cash equivalents and investments above comprise:

Developer contributions – general	3,435	2,628
Developer contributions – water fund	1,097	954
Developer contributions – sewer fund	207	137
Water fund	15,889	13,770
Sewer fund	6,121	3,465
Stormwater management	555	448
Regional waste group	4,815	4,297
Regional fire zone	28	76
Other contributions	21	21
Other	216	216
Domestic waste management	132	132
External restrictions – other	32,516	26,144
Total external restrictions	35,273	32,138

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

\$ '000	2022	2021
(b) Internal allocations		
Cash, cash equivalents and investments not subject to external restrictions	6,310	4,682
Less: Internally restricted cash, cash equivalents and investments	(6,254)	(7,473)
Unrestricted and unallocated cash, cash equivalents and investments	56	(2,791)

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

\$ '000	2022	2021
Internal allocations		
At 30 June, Council has internally allocated funds to the following:		
Plant and vehicle replacement	700	700
Employees leave entitlement	1,173	1,335
Implementation Funding	846	923
Stronger Councils Funds	2,806	3,786
Quarries and pit restoration	729	729
Total internal allocations	6,254	7,473

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

\$ '000	2022	2021
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(c) Unrestricted and unallocated

Unrestricted and unallocated cash, cash equivalents and investments	56	(2,791)
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Going Concern

The financial statements have been prepared on the going concern basis which assumes continuity of normal business activities and the realisation of assets and the settlement of liabilities in the ordinary course of business. No adjustments have been made in the financial statements relating to the recoverability and classification of recorded asset amounts or to the amounts and classification of liabilities that might be necessary should the Council not continue as a going concern.

Council's total cash, cash equivalents and investments at 30 June 2022 was \$41,583,000 (2021: \$36,820,000) of which, \$6,310,000 (2021: \$4,682,000) was not subject to external restrictions. Where cash, cash equivalents and investments are not subject to external restrictions, such amounts can be redesignated and made available for general working capital purposes.

In October 2021, Council announced that certain measures were to be undertaken to strengthen its financial sustainability and action has commenced in respect of the following measures, together with the implementation of a new organisational structure effective from 27 June 2022:

- Recruitment of only essential positions;
- minimising the use of consultants and contractors to maximise internal efficiency and contain costs; and
- reducing total employment costs, through consultation with local government staff and unions.

In the opinion of Council and Management, the ability of the Council to continue as a going concern and pay its debts as and when they become due and payable will be enhanced by the achievement of the following measures as resolved by Council in October 2021.

- engaging with the community to reassess levels of service within Council's policies and financial limitations;
- successful formulation and execution of an asset divestment plan;
- consideration of a Special Rate Variation; and
- continued implementation of the measures noted in the previous paragraph.

Council and management consider that the Council will be able to successfully implement the above measures.

C1-4 Receivables

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Rates and annual charges	3,455	–	3,688	–
Interest and extra charges	173	–	164	–
User charges and fees	4,647	–	4,393	–
Contributions to works	–	–	2	–
Accrued revenues				
– Interest on investments	39	–	71	–
– Other income accruals	587	–	152	–
Deferred debtors	–	244	21	–
Government grants and subsidies	–	–	98	–
Net GST receivable	410	–	1,190	–
Contributions	3	–	183	–
Total	9,314	244	9,962	–
Less: provision for impairment				
Rates and annual charges	(4)	–	(4)	–
User charges and fees	(65)	–	(65)	–
Other debtors	(100)	–	(12)	–
Total provision for impairment – receivables	(169)	–	(81)	–
Total net receivables	9,145	244	9,881	–

Externally restricted receivables

Water supply

– Rates and availability charges	539	–	586	–
– Other	2,349	213	2,219	–

Sewerage services

– Rates and availability charges	654	–	708	–
– Other	33	1	236	–

Domestic waste management	1,684	–	924	–
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Total external restrictions	5,259	214	4,673	–
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Unrestricted receivables	3,886	30	5,208	–
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Total net receivables	9,145	244	9,881	–
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\$ '000	2022	2021
Movement in provision for impairment of receivables		
Balance at the beginning of the year	81	86
+ new provisions recognised during the year	100	–
– amounts already provided for and written off this year	(12)	(5)
Balance at the end of the year	169	81

Accounting policy

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue

C1-4 Receivables (continued)

cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presumption that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

C1-5 Inventories

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
(i) Inventories at cost				
Real estate for resale	123	–	123	–
Stores and materials	772	–	835	–
Total inventories at cost	895	–	958	–
Total inventories	895	–	958	–

(i) Other disclosures

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
(a) Details for real estate development				
Residential	123	–	123	–
Total real estate for resale	123	–	123	–
(Valued at the lower of cost and net realisable value)				
Represented by:				
Acquisition costs	15	–	15	–
Development costs	108	–	108	–
Total costs	123	–	123	–
Total real estate for resale	123	–	123	–
Movements:				
Real estate assets at beginning of the year	123	–	123	–
Total real estate for resale	123	–	123	–

C1-5 Inventories (continued)

Accounting policy

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Land held for resale

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed, borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

C1-6 Contract assets and Contract cost assets

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Contract assets	9,749	—	5,878	—
Total contract assets and contract cost assets	9,749	—	5,878	—

Contract assets

Other	9,749	—	5,878	—
Total contract assets	9,749	—	5,878	—

Significant changes in contract assets

Council completed works on roads during the 2021/22 year and issued invoices in the 2022/23 financial year.

Accounting policy

Contract assets

Contract assets represent Councils right to payment in exchange for goods or services the Council has transferred to a customer when that right is conditional on something other than the passage of time.

Contract assets arise when the amounts billed to customers are based on the achievement of various milestones established in the contract and therefore the amounts recognised as revenue in a given period do not necessarily coincide with the amounts billed to or certified by the customer. Once an invoice or payment claim is raised or the relevant milestone is reached, Council recognises a receivable.

Impairment of contract assets is assessed using the simplified expected credit loss model where lifetime credit losses are recognised on initial recognition.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2021		Asset movements during the reporting period								At 30 June 2022		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Impairment Loss/Revaluat ion decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000													
Capital work in progress	6,863	—	6,863	3,881	—	—	—	(5,996)	—	—	4,748	—	4,748
Plant and equipment	29,408	(16,897)	12,511	1,195	—	(118)	(2,171)	51	—	—	29,617	(18,149)	11,468
Office equipment	1,451	(979)	472	152	—	—	(120)	—	—	—	1,603	(1,099)	504
Furniture and fittings	808	(574)	234	—	—	—	(24)	—	—	—	808	(598)	210
Land:													
– Operational land	7,450	—	7,450	—	—	—	—	—	—	—	7,450	—	7,450
– Community land	7,597	—	7,597	—	—	—	—	—	—	—	7,597	—	7,597
Land improvements – non-depreciable	71	—	71	—	—	—	—	—	—	—	71	—	71
Land improvements – depreciable	1,125	(35)	1,090	—	201	—	(39)	—	—	—	1,326	(74)	1,252
Infrastructure:													
– Buildings – non-specialised	103,827	(49,024)	54,803	309	—	—	(2,919)	—	—	—	104,137	(51,944)	52,193
– Buildings – specialised	25,132	(14,021)	11,111	311	—	—	(699)	—	—	—	25,442	(14,719)	10,723
– Other structures	13,355	(5,358)	7,997	—	2,099	—	(408)	409	—	729	17,079	(6,253)	10,826
– Roads ²	404,083	(145,847)	258,236	28,677	—	(1,607)	(7,057)	4,411	(621)	22,749	469,427	(164,639)	304,788
– Bridges	61,597	(28,897)	32,700	—	6,504	—	(606)	1,099	—	2,872	74,609	(32,040)	42,569
– Footpaths	10,051	(2,746)	7,305	—	1,051	—	(134)	—	—	641	11,984	(3,121)	8,863
– Bulk earthworks (non-depreciable)	129,481	—	129,481	—	—	—	—	—	—	—	129,481	—	129,481
– Stormwater drainage	30,676	(18,887)	11,789	187	—	—	(311)	—	—	1,036	33,557	(20,856)	12,701
– Water supply network	78,145	(35,024)	43,121	955	—	—	(998)	—	(579)	—	93,914	(51,415)	42,499
– Sewerage network	75,473	(31,192)	44,281	2,538	—	—	(1,386)	26	—	1,421	88,606	(41,726)	46,880
– Swimming pools	13,992	(4,760)	9,232	51	—	—	(266)	—	—	840	15,317	(5,460)	9,857
– Other open space/recreational assets	15,651	(5,675)	9,976	372	—	—	(391)	—	—	909	17,449	(6,583)	10,866
Other assets:													
– Library books	774	(576)	198	42	—	—	(78)	—	—	—	815	(653)	162
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	2,105	(304)	1,801	—	475	—	(417)	—	—	—	2,580	(721)	1,859
– Quarry assets	1,170	(337)	833	—	(43)	—	(84)	—	—	—	1,127	(421)	706
Total infrastructure, property, plant and equipment	1,020,285	(361,133)	659,152	38,670	10,287	(1,725)	(18,108)	—	(1,200)	31,197	1,138,744	(420,471)	718,273

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

(2) Road assets totalling \$19.25 Million were contributed in 2021/22 - refer note B2-4

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2020			Asset movements during the reporting period						At 30 June 2021		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000												
Capital work in progress	4,796	—	4,796	—	5,516	—	—	(3,449)	—	6,863	—	6,863
Plant and equipment	32,363	(17,060)	15,303	495	—	(994)	(2,293)	—	—	29,408	(16,897)	12,511
Office equipment	1,367	(870)	497	84	—	—	(109)	—	—	1,451	(979)	472
Furniture and fittings	808	(550)	258	—	—	—	(24)	—	—	808	(574)	234
Land:												
– Operational land	7,450	—	7,450	—	—	—	—	—	—	7,450	—	7,450
– Community land	7,597	—	7,597	—	—	—	—	—	—	7,597	—	7,597
Land improvements – non-depreciable	71	—	71	—	—	—	—	—	—	71	—	71
Land improvements – depreciable	514	(26)	488	611	—	—	(9)	—	—	1,125	(35)	1,090
Infrastructure:												
– Buildings – non-specialised	99,507	(46,191)	53,316	1,313	—	—	(2,833)	3,007	—	103,827	(49,024)	54,803
– Buildings – specialised	24,799	(13,364)	11,435	312	—	—	(656)	20	—	25,132	(14,021)	11,111
– Other structures	13,099	(4,962)	8,137	238	—	—	(395)	17	—	13,355	(5,358)	7,997
– Roads	392,167	(139,369)	252,798	11,910	—	—	(6,478)	6	—	404,083	(145,847)	258,236
– Bridges	61,491	(28,291)	33,200	87	—	—	(606)	19	—	61,597	(28,897)	32,700
– Footpaths	8,849	(2,627)	6,222	1,202	—	—	(119)	—	—	10,051	(2,746)	7,305
– Bulk earthworks (non-depreciable)	129,481	—	129,481	—	—	—	—	—	—	129,481	—	129,481
– Stormwater drainage	30,589	(18,576)	12,013	86	—	—	(310)	—	—	30,676	(18,887)	11,789
– Water supply network	76,096	(33,740)	42,356	1,349	—	—	(974)	—	390	78,145	(35,024)	43,121
– Sewerage network	74,645	(29,594)	45,051	140	—	—	(1,325)	—	415	75,473	(31,192)	44,281
– Swimming pools	12,645	(4,546)	8,099	1,347	—	—	(214)	—	—	13,992	(4,760)	9,232
– Other open space/recreational assets	13,821	(5,321)	8,500	1,450	—	—	(354)	380	—	15,651	(5,675)	9,976
Other assets:												
– Library books	713	(510)	203	61	—	—	(66)	—	—	774	(576)	198
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):												
– Tip assets	304	(304)	—	1,801	—	—	—	—	—	2,105	(304)	1,801
– Quarry assets	639	(325)	314	530	—	—	(11)	—	—	1,170	(337)	833
Total infrastructure, property, plant and equipment	993,811	(346,226)	647,585	23,016	5,516	(994)	(16,776)	—	805	1,020,285	(361,133)	659,152

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

Accounting policy

ASSET POLICY

Infrastructure, property, plant and equipment (I,PP&E)

Acquisition of assets

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational Land**
(External Valuation as at 30/6/18)
- **Buildings – Specialised**
(External Valuation as at 30/6/18)
- **Buildings – Non Specialised**
(External Valuation as at 30/6/18)
- **Plant and Equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads Assets Including Kerb and Guttering**
(External Valuation as at 30/6/20 and indexation at 30/6/22)
- **Bridges**
(External Valuation as at 30/6/20 and indexation at 30/6/22)
- **Footpaths**
(External Valuation as at 30/6/20 and indexation at 30/6/22)
- **Bulk Earthworks**
(External Valuation as at 30/6/20 and indexation at 30/6/22)
- **Stormwater Drainage**
(External Valuation as at 30/6/20 and indexation at 30/6/22)
- **Community Land**
(External Valuation as at 30/6/18)
- **Land Improvements**
(External Valuation as at 30/6/18)
- **Water Supply Network**
(Internal Valuation as at 30/6/22)
- **Sewer Network**
(Internal Valuation as at 30/6/22)
- **Open Space Recreation**
(External Valuation as at 30/6/19 and indexation at 30/6/22)
- **Swimming Pools**
(External Valuation as at 30/6/19 and indexation at 30/6/22)
- **Other Structures**
(External Valuation as at 30/6/19 and indexation at 30/6/22)
- **Library Books**
(Fair Value approximated by depreciated historical cost)
- **Office Equipment Furniture & Fittings**
(Fair Value approximated by depreciated historical cost)
- **Reinstatements**
(Internal valuation 30/6/20)

C1-7 Infrastructure, property, plant and equipment (continued)

Initial recognition

On initial recognition, an asset's cost is measured at its fair value, plus all expenditure that is directly attributable to the acquisition.

Where settlement of any part of an asset's cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of recognition (i.e. date of exchange) of the asset to arrive at fair value.

The discount rate used is the Council's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Where infrastructure, property, plant and equipment assets are acquired for no cost or for an amount other than cost, the assets are recognised in the financial statements at their fair value at acquisition date – being the amount that the asset could have been exchanged between knowledgeable willing parties in an arm's length transaction.

Upon the consolidation of all asset registers from Boorowa Harden and Young upon the merger to form Hilltops Council all assets were imported with the asset useful lives that were recorded in the legacy asset registers. These useful lives and depreciation rates have been reviewed and standardised for each asset category in line with this policy at the time that revaluation of the asset categories occurs within the 5 year revaluation cycle of Council.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by DPI Water. A complete internal valuation was completed at 30 June 2022

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount. Indexations to all transport assets occurred as at 30 June 2022

Full revaluations are undertaken for all assets on a 5-year cycle.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000

Plant and Equipment

Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000

Building

- Buildings Specialised	> \$10,000
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C1-7 Infrastructure, property, plant and equipment (continued)

- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000
Water Supply Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Sewer Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Stormwater Assets	
Drains and Culverts	> \$5,000
Other	> \$5,000
Road Assets	
Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000
Other Infrastructure Assets	
Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000
Quarries & Pits	> \$5,000
Library Books	
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's I, PP and E include:

Plant and Equipment

- Office Equipment	4 to 10 years
- Office furniture	4 to 10 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 25 years

Other Equipment

- Playground equipment	5 to 15 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	40 to 60 years
- Buildings Non-Specialised	40 to 100 years
- Buildings Other	40 to 60 years

Stormwater Drainage

- Drains	80 to 100 years
- Culverts	80 to 100 years

Road Assets

- Sealed Roads: Surface	15 to 50 years
- Sealed Roads: Structure	50 to 150 years
- Bridge: Concrete	80 to 100 years
- Footpaths	15 to 50 years
- Kerb & Gutter	15 to 50 years
- Bulk earthworks	Not Depreciated

continued on next page ...

C1-7 Infrastructure, property, plant and equipment (continued)

Water and Sewer Assets

- Dams and reservoirs	80 to 100 years
- Reticulation pipes: PVC	70 to 80 years
- Reticulation pipes: Other	25 to 75 years
- Pumps and telemetry	10 to 20 years

Other Infrastructure Assets

- Bulk earthworks	Not Depreciated
- Swimming Pools	25 to 60 years
- Open Space Recreational Assets	15 to 60 years
- Other Structures	20 to 60 years

Quarries & Pits	3-5 Years
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Library Books

- Books & Equipment	5 Years
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All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Intangible assets

Council has not classified any assets as intangible.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Provisions for Restoration and for Environmental Clean-up Costs – including Tips and Quarries

Close down, restoration and remediation costs include the dismantling and demolition of infrastructure, the removal of residual materials and the remediation of disturbed areas.

C1-7 Infrastructure, property, plant and equipment (continued)

Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close down and restoration costs do not include any additional obligations that are expected to arise from future disturbance.

Costs are estimated on the basis of a closure plan.

The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Close down, restoration and remediation costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the Income Statement in each accounting period.

This amortisation of the discount is disclosed as a borrowing cost in Note B3-3.

Other movements in the provisions for close down, restoration and remediation costs including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are capitalised within property, plant and equipment.

These costs are then depreciated over the lives of the assets to which they relate.

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each balance sheet date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the balance sheet date.

These costs are charged to the Income Statement.

Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount, which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations.

The expected timing of expenditure can also change, for example, in response to changes in quarry reserves or production rates.

As a result there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Specific information about Council's provisions relating to close down, restoration and remediation costs can be found at Note C3-5.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

C1-7 Infrastructure, property, plant and equipment (continued)

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Goodwill and other intangible assets that have an indefinite useful life and are not subject to amortisation are tested annually for impairment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated. Where the Crown reserves are under a lease arrangement they are accounted for under AASB 16 Leases, refer to Note C2-1.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fires service assets including land and buildings, but will not recognise plant and vehicles.

Externally restricted infrastructure, property, plant and equipment

\$ '000	as at 30/06/22			as at 30/06/21		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount
Water supply						
Plant and equipment	722	635	87	722	612	110
Office equipment	98	68	30	98	65	33
Land						
– Operational land	196	–	196	196	–	196
Buildings	18	3	15	18	1	17
Infrastructure	93,914	51,415	42,499	78,145	35,024	43,121
Total water supply	94,948	52,121	42,827	79,179	35,702	43,477
Sewerage services						
Plant and equipment	1,907	1,901	6	1,907	1,890	17
Land						
– Operational land	570	–	570	570	–	570
Buildings	875	218	657	875	197	678
Infrastructure	89,278	42,250	47,028	75,498	31,192	44,306
Total sewerage services	92,630	44,369	48,261	78,850	33,279	45,571
Domestic waste management						
Plant and equipment	657	194	463	401	146	255
Land						
Total domestic waste management	657	194	463	401	146	255
Other restricted assets						
Plant and equipment	1,358	1,082	276	1,358	964	394
Other Structures	202	45	157	199	41	158
Total other restrictions	1,560	1,127	433	1,557	1,005	552
Total restricted infrastructure, property, plant and equipment	189,795	97,811	91,984	159,987	70,132	89,855

C2 Leasing activities

C2-1 Council as a lessee

Council had a lease over Vehicles in the asset class plant and equipment. Information relating to the leases in place and associated balances and transactions is provided below.

Vehicles

Council had leased 2 vehicles for waste collection and recycling with lease terms over 7 years; the lease payments were fixed during the lease term and there is no renewal option.

Office and IT equipment

Leases for office and IT equipment are generally for low value assets, except for significant items such as photocopiers. The leases are for between 3 and 8 years with no renewal option, the payments are fixed, however some of the leases include variable payments based on usage.

(a) Right of use assets

\$ '000	Plant & Equipment	Ready to use	Office Equipment	Total
2022				
Opening balance at 1 July	404	–	92	496
Depreciation charge	–	–	(21)	(21)
Other movement	(404)	–	–	(404)
Balance at 30 June	–	–	71	71
2021				
Opening balance at 1 July	522	–	–	522
Additions to right-of-use assets	–	–	106	106
Depreciation charge	(118)	–	(14)	(132)
Balance at 30 June	404	–	92	496

(b) Lease liabilities

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Lease liabilities	21	50	137	385
Total lease liabilities	21	50	137	385

(c) (i) The maturity analysis

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

\$ '000	< 1 year	1 – 5 years	> 5 years	Total	Total per Statement of Financial Position
2022					
Cash flows	21	50	–	71	71
2021					
Cash flows	136	385	–	521	522

C2-1 Council as a lessee (continued)

(d) Income Statement

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

\$ '000	2022	2021
Interest on lease liabilities	1	32
Depreciation of right of use assets	21	132
Expenses relating to short-term leases	21	12
	43	176

(e) Statement of Cash Flows

Total cash outflow for leases	(44)	(155)
	(44)	(155)

(f) Leases at significantly below market value – concessionary / peppercorn leases

Accounting policy

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C2-2 Council as a lessor

Operating leases

C2-2 Council as a lessor (continued)

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E (refer in this note part (v) below) in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

\$ '000	2022	2021
(i) Assets held as property, plant and equipment		
Council provides operating leases on Council buildings for the purpose of commercial occupation, the table below relates to operating leases on assets disclosed in C1-8.		
Lease income (excluding variable lease payments not dependent on an index or rate)	681	610
Total income relating to operating leases for Council assets	681	610

Accounting policy

When Council is a lessor, the lease is classified as either an operating or finance lease at inception date, based on whether substantially all of the risks and rewards incidental to ownership of the asset have been transferred to the lessee. If the risks and rewards have been transferred then the lease is classified as a finance lease, otherwise it is an operating lease.

When Council has a sub-lease over an asset and is the intermediate lessor then the head lease and sub-lease are accounted for separately. The classification of the sub-lease is based on the right-of-use asset which arises from the head lease rather than the useful life of the underlying asset.

If the lease contains lease and non-lease components, the non-lease components are accounted for in accordance with AASB 15 *Revenue from Contracts with Customers*.

The lease income is recognised on a straight-line basis over the lease term for an operating lease and as finance income using amortised cost basis for finance leases.

C3 Liabilities of Council

C3-1 Payables

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Payables				
Goods and services – operating expenditure	571	–	1,748	–
Goods and services – capital expenditure	1	–	–	–
Accrued expenses:				
– Borrowings	48	–	36	–
– Salaries and wages	387	–	319	–
– Other expenditure accruals	1,312	72	1,130	82
Funds held for Section 355 Committees	139	–	139	–
Security bonds, deposits and retentions	1,004	–	1,137	–
Sale of Land Deposits	333	–	–	–
ATO – net GST payable	56	–	313	–
Government departments and agencies	7	–	(3)	–
Other	69	–	121	–
Total payables	3,927	72	4,940	82
Total payables	3,927	72	4,940	82

Payables relating to restricted assets

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Externally restricted assets				
Water	628	–	495	–
Sewer	69	–	43	–
Payables relating to externally restricted assets	697	–	538	–
Total payables relating to restricted assets	697	–	538	–
Total payables relating to unrestricted assets	3,230	72	4,402	82
Total payables	3,927	72	4,940	82

Current payables not anticipated to be settled within the next twelve months

\$ '000	2022	2021
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.		
Payables – security bonds, deposits and retentions	831	997
Total payables	831	997

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

\$ '000	Notes	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	7,103	–	6,663	–
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	147	–	592	–
Total grants received in advance		7,250	–	7,255	–
User fees and charges received in advance:					
Other		969	–	755	–
Total user fees and charges received in advance		969	–	755	–
Total contract liabilities		8,219	–	8,010	–

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges, library and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

Revenue recognised that was included in the contract liability balance at the beginning of the period

\$ '000	2022	2021
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	3,818	1,734
Total revenue recognised that was included in the contract liability balance at the beginning of the period	3,818	1,734

Significant changes in contract liabilities

Council received additional grant funding under the Local Roads Capital Improvement Program (LRCIP) which could not be spent during the current year.

Accounting policy

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

C3-3 Borrowings

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Loans – secured ¹	1,853	13,664	1,872	15,310
Total borrowings	1,853	13,664	1,872	15,310

(1) Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

C3-3 Borrowings (continued)

Borrowings relating to restricted assets

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Externally restricted assets				
Water	342	2,547	337	2,890
Sewer	697	8,463	750	8,952
Borrowings relating to externally restricted assets	1,039	11,010	1,087	11,842
Total borrowings relating to restricted assets	1,039	11,010	1,087	11,842
Total borrowings relating to unrestricted assets	814	2,654	785	3,468
Total borrowings	1,853	13,664	1,872	15,310

Changes in liabilities arising from financing activities

\$ '000	2021		Non-cash movements				2022
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	17,182	(1,665)	–	–	–	–	15,517
Lease liability (Note C2-1b)	522	(451)	–	–	–	–	71
Total liabilities from financing activities	17,704	(2,116)	–	–	–	–	15,588

\$ '000	2020		Non-cash movements				2021
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	19,094	(1,912)	–	–	–	–	17,182
Lease liability (Note C2-1b)	539	(17)	–	–	–	–	522
Total liabilities from financing activities	19,633	(1,929)	–	–	–	–	17,704

Breaches and Defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

Security over Loans

Loans are secured over the General rating Income of Council.
Lease liabilities are secured by the underlying leased assets.

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or borrowing costs.

C3-4 Employee benefit provisions

\$ '000	2022 Current	2022 Non-current	2021 Current	2021 Non-current
Annual leave	1,840	–	1,995	–
Sick leave	606	–	734	–
Long service leave	2,476	1,368	2,964	1,596
RDO leave	301	–	278	–
Total employee benefit provisions	5,223	1,368	5,971	1,596

Current employee benefit provisions not anticipated to be settled within the next twelve months

\$ '000	2022	2021
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	3,658	3,958
	3,658	3,958

Accounting policy

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C3-5 Provisions

\$ '000	2022 Current	2022 Non-Current	2021 Current	2021 Non-Current
Asset remediation/restoration:				
Asset remediation/restoration (future works)	1,183	9,945	1,231	9,430
Sub-total – asset remediation/restoration	1,183	9,945	1,231	9,430
Total provisions	1,183	9,945	1,231	9,430

C3-5 Provisions (continued)

Description of and movements in provisions

\$ '000	Other provisions	
	Asset remediation	Total
2022		
At beginning of year	10,661	10,661
Changes to provision:		
– Revised discount rate	431	431
Unwinding of discount	36	36
Total other provisions at end of year	11,128	11,128
2021		
At beginning of year	8,274	8,274
Changes to provision:		
– Revised discount rate	2,331	2,331
Unwinding of discount	56	56
Total other provisions at end of year	10,661	10,661

Accounting policy

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs. Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

The ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are capitalised within infrastructure, property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water and sewer. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

D1-1 Income Statement by fund

\$ '000	Other [*] 2022	General 2022	Water 2022	Sewer 2022
Income from continuing operations				
Rates and annual charges	–	16,742	3,320	4,574
User charges and fees	–	5,868	5,324	57
Interest and investment revenue	16	155	112	59
Other revenues	–	1,753	–	2
Grants and contributions provided for operating purposes	1,988	19,673	89	–
Grants and contributions provided for capital purposes	–	38,366	173	73
Other income	–	684	–	–
Total income from continuing operations	2,004	83,241	9,018	4,765
Expenses from continuing operations				
Employee benefits and on-costs	7	15,907	865	382
Materials and services	1,579	12,583	5,318	965
Borrowing costs	–	145	48	382
Depreciation, amortisation and impairment of non-financial assets	122	15,562	1,027	1,418
Other expenses	–	1,085	–	–
Net losses from the disposal of assets	–	1,416	–	–
Total expenses from continuing operations	1,708	46,698	7,258	3,147
Operating result from continuing operations	296	36,543	1,760	1,618
Net operating result for the year	296	36,543	1,760	1,618
Net operating result attributable to each council fund	296	36,543	1,760	1,618
Net operating result for the year before grants and contributions provided for capital purposes	296	(1,823)	1,587	1,545

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

D1-2 Statement of Financial Position by fund

\$ '000	Other 2022	General 2022	Water 2022	Sewer 2022
ASSETS				
Current assets				
Cash and cash equivalents	4,513	–	10,375	5,923
Investments	498	11,135	8,064	1,075
Receivables	161	5,409	2,888	687
Inventories	–	895	–	–
Contract assets and contract cost assets	–	9,749	–	–
Total current assets	5,172	27,188	21,327	7,685
Non-current assets				
Receivables	–	30	213	1
Infrastructure, property, plant and equipment	433	626,900	42,827	48,113
Right of use assets	–	71	–	–
Total non-current assets	433	627,001	43,040	48,114
Total assets	5,605	654,189	64,367	55,799
LIABILITIES				
Current liabilities				
Payables	112	3,118	628	69
Contract liabilities	–	8,219	–	–
Lease liabilities	–	21	–	–
Borrowings	–	814	342	697
Employee benefit provision	–	4,936	179	108
Provisions	–	1,183	–	–
Total current liabilities	112	18,291	1,149	874
Non-current liabilities				
Payables	–	72	–	–
Lease liabilities	–	50	–	–
Borrowings	–	2,654	2,547	8,463
Employee benefit provision	–	1,368	–	–
Provisions	–	9,945	–	–
Total non-current liabilities	–	14,089	2,547	8,463
Total liabilities	112	32,380	3,696	9,337
Net assets	5,493	621,809	60,671	46,462
EQUITY				
Accumulated surplus	5,491	511,860	58,964	42,781
Revaluation reserves	2	109,949	1,707	3,681
Council equity interest	5,493	621,809	60,671	46,462
Total equity	5,493	621,809	60,671	46,462

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

\$ '000	Carrying value 2022	Carrying value 2021	Fair value 2022	Fair value 2021
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	20,811	9,805	20,811	9,805
Receivables	9,389	9,881	10,687	9,881
Investments				
– Debt securities at amortised cost	20,772	27,015	20,772	27,015
Total financial assets	50,972	46,701	52,270	46,701
Financial liabilities				
Payables	3,999	5,022	3,999	5,022
Borrowings	15,517	17,182	15,517	17,182
Total financial liabilities	19,516	22,204	19,516	22,204

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and measure at amortised cost investments** – are based upon estimated future cash flows discounted by the current market interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **at fair value through profit and loss** or (ii) **at fair value through other comprehensive income** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether these changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.

E1-1 Risks relating to financial instruments held (continued)

- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – interest rate and price risk

\$ '000	2022	2021
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	207	272
Impact of a 10% movement in price of investments		
– Equity / Income Statement	–	–

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

\$ '000	Not yet overdue	overdue rates and annual charges < 5 years	≥ 5 years	Total
2022				
Gross carrying amount	247	2,963	245	3,455
2021				
Gross carrying amount	799	2,337	552	3,688

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses, non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

E1-1 Risks relating to financial instruments held (continued)

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	0 - 30 days	Overdue debts			Total
			31 - 60 days	61 - 90 days	> 91 days	
2022						
Gross carrying amount	12,547	51	1,186	22	2,046	15,852
Expected loss rate (%)	0.00%	0.00%	1.60%	3.20%	7.10%	1.04%
ECL provision	—	—	19	1	145	165
2021						
Gross carrying amount	9,571	—	5	857	1,719	12,152
Expected loss rate (%)	0.00%	0.00%	0.00%	2.90%	3.00%	0.63%
ECL provision	—	—	—	25	52	77

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
\$ '000							
2022							
Payables	0.00%	1,004	2,923	72	—	3,999	3,999
Borrowings	3.60%	—	1,853	7,083	6,581	15,517	15,517
Total financial liabilities		1,004	4,776	7,155	6,581	19,516	19,516
2021							
Payables	0.00%	1,137	3,885	—	—	5,022	5,022
Borrowings	3.60%	—	1,872	7,950	7,360	17,182	17,182
Total financial liabilities		1,137	5,757	7,950	7,360	22,204	22,204

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2022	2021	2022	2021	2022	2021	2022	2021
Recurring fair value measurements									
Infrastructure, property, plant and equipment	C1-7								
Plant & Equipment		30/6/2018	30/6/2018	—	—	11,468	12,511	11,468	12,511
Office Equipment, Furniture & Fittings		30/6/2018	30/6/2018	—	—	714	706	714	706
Operational Land		30/6/2018	30/6/2018	7,450	7,450	—	—	7,450	7,450
Community Land		30/6/2018	30/6/2018	—	—	7,597	7,597	7,597	7,597
Land Improvements		30/6/2018	30/6/2018	—	—	1,323	1,161	1,323	1,161
Buildings – Specialised		30/6/2018	30/6/2018	—	—	10,723	11,111	10,723	11,111
Buildings Non-Specialised		30/6/2018	30/6/2018	—	—	52,193	54,803	52,193	54,803
Other structures		30/6/2022	30/6/2019	—	—	10,826	7,997	10,826	7,997
Roads		30/6/2022	30/6/2020	—	—	295,595	249,889	295,595	249,889
Bridges		30/6/2022	30/6/2020	—	—	42,569	32,700	42,569	32,700
Footpaths		30/6/2022	30/6/2020	—	—	8,863	7,305	8,863	7,305
Kerb & Gutter		30/6/2022	30/6/2020	—	—	9,193	8,347	9,193	8,347
Bulk Earthworks		30/6/2020	30/6/2020	—	—	129,481	129,481	129,481	129,481
Stormwater Drainage		30/6/2022	30/6/2020	—	—	12,701	11,789	12,701	11,789
Water Supply Network		30/6/2022	30/6/2017	—	—	42,499	43,121	42,499	43,121
Sewer Network		30/6/2022	30/6/2017	—	—	46,880	44,281	46,880	44,281
Swimming Pools		30/6/2022	30/6/2019	—	—	9,857	9,232	9,857	9,232
Other Open Space & Recreational Assets		30/6/2022	30/6/2019	—	—	10,866	9,976	10,866	9,976
Library Books		30/6/2018	30/6/2018	—	—	162	198	162	198
Reinstatements		30/6/2019	30/6/2019	—	—	2,565	2,634	2,565	2,634
Total infrastructure, property, plant and equipment				7,450	7,450	706,075	644,839	713,525	652,289

Non-recurring fair value measurements

Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

Valuation techniques

E2-1 Fair value measurement (continued)

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPPE)

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The observable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The observable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Works Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value
- Asset Condition
- Dimensions and Specification

E2-1 Fair value measurement (continued)

- Remaining Life of Carriageway
- Unit Rates

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values, bridges (non- componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed.

Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values, footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as:

- Pipe Diameter
- Pit Type

E2-1 Fair value measurement (continued)

- Water Quality Device Type
- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

Property: - Operational Land

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2018) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

The 'Cost Approach' is used to value Community land.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The 'Cost Approach' is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council carries fair values building using Level 3 inputs. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex

E2-1 Fair value measurement (continued)

structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are under taken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value

E2-1 Fair value measurement (continued)

- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

Fair value measurements using significant unobservable inputs (level 3)

Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

\$ '000	Fair value (30/6/22) 2022	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment			
Plant and equipment	11,468	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Office equipment	714	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Community land	7,597	Land values obtained from NSW Valuer General	Land Value, Land area
Land improvements	1,323	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Buildings	62,916	Cost used to approximate fair value	Cost per sq metre, consumption rate. Condition, useful life
Other structures	10,826	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Roads	295,595	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bridges	42,569	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Footpaths	8,863	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bulk earthworks	129,481	Cost used to approximate fair value	Cost per sq Metre
Stormwater drainage	12,701	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Water supply network	42,499	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	46,880	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	9,857	Cost used to approximate fair value	Cost per unit

E2-1 Fair value measurement (continued)

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy is provided below:

\$ '000	IPP & E	
	2022	2021
Opening balance	644,839	635,339
Purchases (GBV)	51,072	26,465
Disposals (WDV)	(1,725)	(994)
Depreciation and impairment	(18,108)	(16,776)
Fair value changes	29,997	805
Closing balance	706,075	644,839

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are::

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 8% of salaries for the year ending 30 June 2021 (increasing to 7.5% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$40.0 million for 1 July 2019 to 30 June 2021 and \$20.0 million per annum from 1 January to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2021. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

E3-1 Contingencies (continued)

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2022 was \$169,204.04. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2022.

The amount of additional contributions included in the total employer contribution advised above is \$128,571.97. Council's expected contribution to the plan for the next annual reporting period is \$163,326.96.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2022 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,376.6	
Past Service Liabilities	2,380.7	99.8%
Vested Benefits	2,391.7	99.4%

* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is 0.45%

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	5.5% per annum
Salary inflation *	3.5% per annum
Increase in CPI	2.5% per annum

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2022.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

E3-1 Contingencies (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2022	2021
Compensation:		
Short-term benefits	1,009	1,001
Post-employment benefits	78	84
Termination benefits	63	358
Total	1,150	1,443

F1-2 Councillor and Mayoral fees and associated expenses

\$ '000	2022	2021
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	25	28
Councillors' fees	118	127
Other Councillors' expenses (including Mayor)	11	12
Total	154	167

F2 Other relationships

F2-1 Audit fees

\$ '000	2022	2021
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	200	191
Remuneration for audit and other assurance services	200	191
Total Auditor-General remuneration	200	191
Non NSW Auditor-General audit firms		
(i) Audit and other assurance services		
Internal audit	8	—
Remuneration for audit and other assurance services	8	—
Total remuneration of non NSW Auditor-General audit firms	8	—
Total audit fees	208	191

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of net operating result to cash provided from operating activities

\$ '000	2022	2021
Net operating result from Income Statement	40,217	12,377
Add / (less) non-cash items:		
Depreciation and amortisation	18,129	16,908
(Gain) / loss on disposal of assets	1,416	842
Non-cash capital grants and contributions	(19,252)	—
Unwinding of discount rates on reinstatement provisions	467	2,387
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	627	884
Increase / (decrease) in provision for impairment of receivables	88	(5)
(Increase) / decrease of inventories	63	(52)
Decrease/(increase) in other assets	—	26
(Increase) / decrease of contract asset	(3,871)	(2,500)
Increase / (decrease) in payables	(1,177)	(716)
Increase / (decrease) in accrued interest payable	12	36
Increase / (decrease) in other accrued expenses payable	240	(179)
Increase / (decrease) in other liabilities	(99)	(233)
Increase / (decrease) in contract liabilities	209	1,013
Increase/(decrease) in employee leave entitlements	(976)	436
Net cash flows from operating activities	36,093	31,224

G2-1 Commitments

Capital commitments (exclusive of GST)

\$ '000	2022	2021
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Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	207	117
Plant and equipment	–	442
Bridges	8,530	10,449
Other (inc Water and Sewer)	3,729	247
Total commitments	12,466	11,255

These expenditures are payable as follows:

Within the next year	12,466	11,176
Later than one year and not later than 5 years	–	79
Total payable	12,466	11,255

Sources for funding of capital commitments:

Unrestricted general funds	–	689
Future grants and contributions	8,737	10,566
Externally restricted reserves	3,729	–
Total sources of funding	12,466	11,255

G3-1 Events occurring after the reporting date

Council is unaware of any material or significant 'non-adjusting events' that should be disclosed.

G4 Statement of developer contributions as at 30 June 2022

G4-1 Summary of developer contributions

\$ '000	Opening balance at 1 July 2021	Contributions received during the year		Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2022	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash					
Roads	1,305	321	–	7	(68)	–	1,565	–
S7.11 contributions – under a plan	1,305	321	–	7	(68)	–	1,565	–
S7.12 levies – under a plan	1,204	540	–	8	–	–	1,752	–
Total S7.11 and S7.12 revenue under plans	2,509	861	–	15	(68)	–	3,317	–
S7.11 not under plans	118	–	–	–	–	–	118	–
S7.4 planning agreements	–	–	19,252	–	–	–	–	–
S64 contributions	1,092	207	–	5	–	–	1,304	–
Total contributions	3,719	1,068	19,252	20	(68)	–	4,739	–

Under the Environmental Planning and Assessment Act 1979, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G4-2 Developer contributions by plan

	Opening balance at 1 July 2021	Contributions received during the year		Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2022	Cumulative balance of internal borrowings (to)/from
\$ '000		Cash	Non-cash					
CONTRIBUTION PLAN (former Harden)								
Roads	1,305	321	–	7	(68)	–	1,565	–
Total	1,305	321	–	7	(68)	–	1,565	–

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Roads	190	26	–	1	–	–	217	–
Community facilities	215	43	–	1	–	–	259	–
Other	–	1	–	–	–	–	1	–
Total	405	70	–	2	–	–	477	–

CONTRIBUTION PLAN (former Harden)

Roads	–	28	–	–	–	–	28	–
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continued on next page ...

G4-2 Developer contributions by plan (continued)

\$ '000	Opening balance at 1 July 2021	Contributions received during the year		Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2022	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash					
Other	135	22	–	1	–	–	158	–
Total	135	50	–	1	–	–	186	–
CONTRIBUTION PLAN NUMBER Former Young								
Community facilities	664	420	–	5	–	–	1,089	–
Total	664	420	–	5	–	–	1,089	–

G4-3 Contributions not under plans

(former Young)

Drainage	31	–	–	–	–	–	31	–
Parking	87	–	–	–	–	–	87	–
Total	118	–	–	–	–	–	118	–

G4-4 S7.4 planning agreements

Council established a planning agreement with Rye Park Windfarm to upgrade roads and associated infrastructure. The windfarm completed the work and contributed the asset upgrades to Council.

G5 Statement of performance measures

G5-1 Statement of performance measures – consolidated results

\$ '000	Amounts 2022	Indicator 2022	2021	Indicators 2020	2019	Benchmark
1. Operating performance ratio						
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	3,164	5.24%	(9.12)%	(21.40)%	(12.31)%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	60,413					
2. Own source operating revenue ratio						
Total continuing operating revenue excluding all grants and contributions ¹	38,663	39.04%	49.43%	50.13%	55.05%	> 60.00%
Total continuing operating revenue	99,025					
3. Unrestricted current ratio						
Current assets less all external restrictions	20,840	1.56x	1.11x	1.14x	3.86x	> 1.50x
Current liabilities less specific purpose liabilities	13,351					
4. Debt service cover ratio						
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	21,868	9.56x	4.69x	3.55x	4.12x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	2,287					
5. Rates and annual charges outstanding percentage						
Rates and annual charges outstanding	3,624	12.58%	14.04%	13.13%	9.93%	< 10.00%
Rates and annual charges collectable	28,800					
6. Cash expense cover ratio						
Current year's cash and cash equivalents plus all term deposits	41,583	11.80 months	10.09 months	9.58 months	8.52 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities	3,525					

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

G5-2 Statement of performance measures by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2022	2021	2022	2021	2022	2021	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	0.07%	(18.14)%	17.94%	15.10%	32.93%	25.13%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	29.58%	38.47%	97.09%	97.03%	98.47%	98.91%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	1.56x	1.11x	18.56x	18.75x	8.79x	8.42x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	8.54x	6.26x	55.46x	5.96x	8.76x	2.55x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	17.33%	13.63%	0.00%	15.85%	0.00%	14.23%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	7.17	7.59	∞	17.32	∞	25.33	> 3.00
Monthly payments from cash flow of operating and financing activities	months	months		months		months	months

(1) - (2) Refer to Notes at Note G6-1 above.

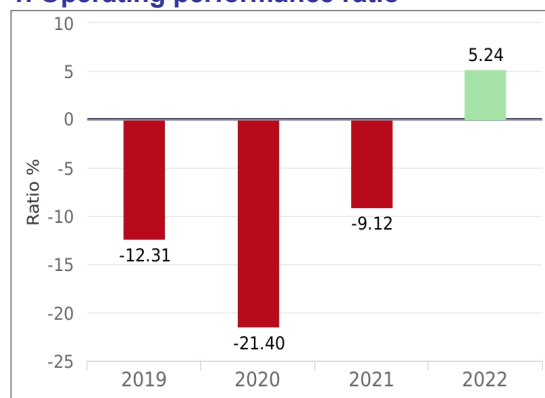
(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

End of the audited financial statements

H Additional Council disclosures (unaudited)

H1-1 Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2021/22 result

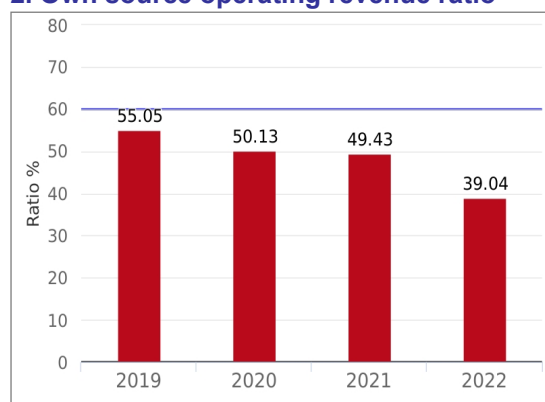
2021/22 ratio 5.24%

Council has exceeded the benchmark, following an improvement in 2021/22.

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2021/22 result

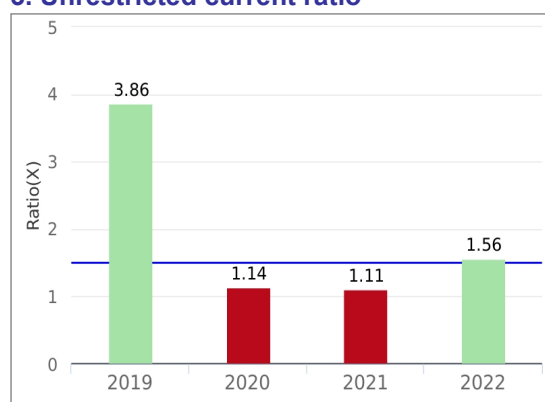
2021/22 ratio 39.04%

Council has fallen away from the benchmark this year, similar to the result last year. Council has again received significant operating grant income which has artificially lowered the ratio in 2021/22.

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Benchmark: — > 1.50x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2021/22 result

2021/22 ratio 1.56x

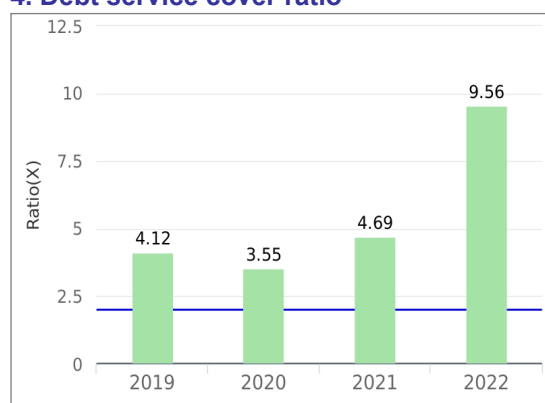
Council has risen above the industry benchmark of 1.5 in 2021/22 and continues to have sufficient working capital to meet all financial obligations as they fall due.

Ratio achieves benchmark

Ratio is outside benchmark

H1-1 Statement of performance measures – consolidated results (graphs) (continued)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2021/22 result

2021/22 ratio 9.56x

Council's Debt Service Cover Ratio continues to exceed the industry Benchmark. This trend is expected to continue as outstanding borrowings reduce.

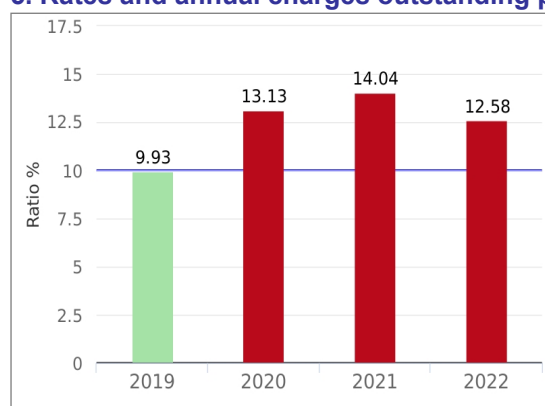
Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates and annual charges outstanding percentage



Purpose of rates and annual charges outstanding percentage

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2021/22 result

2021/22 ratio 12.58%

In the 2022 financial period uncollected rates and annual charges have decreased. Council sits outside the benchmark standard for Rural Councils. The impact of Covid 19 has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

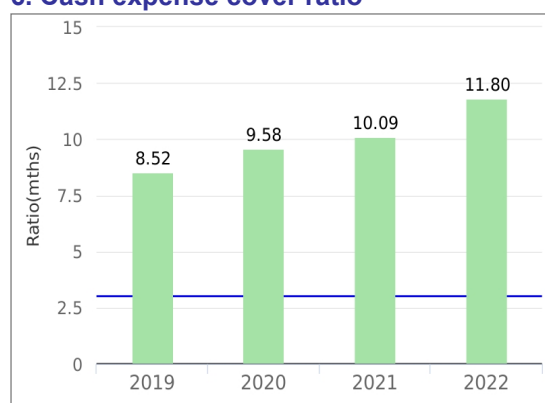
Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2021/22 result

2021/22 ratio 11.80 months

The ratio indicates that Council is able to pay its immediate expenses for a period of 11.8 months before it would have to seek additional cash externally in order to meet immediate expenses. Council sits comfortable above the minimum industry benchmark of 3.0 months

Benchmark: — > 3.00months

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of Hilltops Council

Qualified Opinion

I have audited the accompanying financial statements of Hilltops Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2022, the Statement of Financial Position as at 30 June 2022, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion, except for the effects of the matter described in the 'Basis for Qualified Opinion' section of my report:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2022, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My qualified opinion should be read in conjunction with the rest of this report.

Basis for Qualified Opinion

Non recognition of rural fire-fighting equipment

As disclosed in Note C1-7 to the financial statements, the Council has not recognised rural fire-fighting equipment as assets within 'Infrastructure, property, plant and equipment' in the Statement of Financial Position at 30 June 2022. In my opinion, these assets are controlled by the Council and should be recognised as assets in accordance with AASB 116 'Property, Plant and Equipment'.

Australian Accounting Standards refers to control of an asset as being the ability to direct the use of, and obtain substantially all the remaining benefits from, the asset. Control includes the ability to prevent other entities from directing the use of, and obtaining the benefits from, an asset.

Rural fire-fighting equipment is controlled by the Council as:

- these assets are vested in the Council under section 119(2) of the *Rural Fires Act 1997* (Rural Fires Act), giving the Council legal ownership
- the Council has the ability, outside of emergency events as defined in section 44 of the Rural Fires Act, to prevent the NSW Rural Fire Service from directing the use of the rural fire-fighting equipment by either not entering into a service agreement, or cancelling the existing service agreement that was signed on 10 October 2012
- the Council has specific responsibilities for fire mitigation and safety works and bush fire hazard reduction under Part 4 of the Rural Fires Act. The Council obtains economic benefits from the rural fire-fighting equipment as these assets are used to fulfil Council's responsibilities
- in the event of the loss of an asset, the insurance proceeds must be paid into the New South Wales Rural Fire Fighting Fund (section 119(4) of the Rural Fires Act) and be used to reacquire or build a similar asset, which is again vested in the Council as an asset provided free of charge.

The Council has not undertaken procedures to confirm the completeness, accuracy, existence or condition of these assets. Nor has the Council performed procedures to identify the value of assets vested in it during the year. When these assets are vested, no financial consideration is required from the Council and as such these are assets provided to Council free-of-charge.

This is a limitation on the scope of my audit as I was unable to obtain sufficient appropriate audit evidence to:

- support the carrying values of rural fire-fighting equipment assets that should be recorded in the Statement of Financial Position and related notes as at 30 June 2022
- determine the impact on the 'Accumulated surplus' in the Statement of Changes in Equity and Statement of Financial Position
- determine the amount of 'Grants and contributions provided for capital purposes' income from any rural fire-fighting equipment assets vested as an asset received free of charge during the year and/or 'Depreciation, amortisation and impairment of non-financial assets' expense that should be recognised in the Income Statement for the year ended 30 June 2022
- determine the impact on the 'Operating performance' and 'Own source operating revenue' ratios in Note G4-1 'Statement of performance measures – consolidated results' and Note G4-2 'Statement of performance measures by fund'.

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my qualified audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2022 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations'
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented

- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Lisa Berwick', with a stylized flourish at the end.

Lisa Berwick
Delegate of the Auditor-General for New South Wales

28 February 2023
SYDNEY



Mr Anthony O'Reilly
General Manager
Hilltops Council
Locked Bag 5
YOUNG NSW 2594

Contact: Lisa Berwick
Phone no: 02 9275 7165
Our ref: D2303119/FA1740

28 February 2023

Dear Mr O'Reilly

Report on the Conduct of the Audit for the year ended 30 June 2022 Hilltops Council

I have audited the general purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2022 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed a modified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2022 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

SIGNIFICANT AUDIT ISSUES AND OBSERVATIONS

I identified the following significant audit issues and observations during my audit of the Council's financial statements. These issues and observations were addressed as part of my audit.

Modification to the opinion in the Independent Auditor's Report

Non-recognition of rural fire-fighting equipment

The Council has not recognised rural fire-fighting equipment as assets within 'Infrastructure, property, plant and equipment' in the Statement of Financial Position at 30 June 2022. In my opinion, these assets are controlled by the Council and should be recognised as assets in accordance with AASB 116 'Property, Plant and Equipment'.

Australian Accounting Standards refers to control of an asset as being the ability to direct the use of, and obtain substantially all of the remaining benefits from, the asset. Control includes the ability to prevent other entities from directing the use of, and obtaining the benefits from, an asset.

Rural fire-fighting equipment is controlled by the Council as:

- these assets are vested in the Council under section 119(2) of the Rural Fires Act 1997 (Rural Fires Act), giving the Council legal ownership

- the Council has the ability, outside of emergency events as defined in section 44 of the Rural Fires Act, to prevent the NSW Rural Fire Service from directing the use of the rural fire-fighting equipment by either not entering into a service agreement, or cancelling the existing service agreement that was signed on 3 August 2010.
- the Council has specific responsibilities for fire mitigation and safety works and bush fire hazard reduction under Part 4 of the Rural Fires Act. The Council obtains economic benefits from the rural fire-fighting equipment as these assets are used to fulfil Council's responsibilities
- in the event of the loss of an asset, the insurance proceeds must be paid into the New South Wales Rural Fire Fighting Fund (section 119(4) of the Rural Fires Act) and be used to reacquire or build a similar asset, which is again vested in the Council as an asset provided free of charge.

The Council has not undertaken procedures to confirm the completeness, accuracy, existence or condition of these assets. Nor has the Council performed procedures to identify the value of assets vested in it during the year. When these assets are vested, no financial consideration is required from the Council and as such these are assets provided to Council free-of-charge.

Consequently, we were unable to determine the carrying values of rural firefighting equipment assets and related amounts that should be recorded and recognised in the council's 30 June 2022 financial statements.

This has resulted in the audit opinion on the Council's 30 June 2022 general purpose financial statements (GPFS) to be modified.

Refer to the Independent Auditor's report on the GPFS.

Inadequate controls in relation to bank and investments reconciliations

As of 30 June 2022, misstatements were noted during the testing for cash balance, where an amount of \$0.1 million was confirmed by the bank but could not be traced to the general ledger. The main reason for this is due to monthly bank reconciliations not being performed for all bank accounts held by the Council.

In the prior year, adjustments were processed for the prior years' financial statements, to reduce Council's cash and investment balances by \$0.2 million. Council has been unable to identify the original source of the error.

By its very nature, cash and investment balances have a higher inherent risk of fraud. Robust controls are therefore required to be implemented by Council to ensure that these balances and the underlying transactions that support these balances are appropriately managed and accounted for.

INCOME STATEMENT

Operating result

	2022	2021*	Variance
	\$m	\$m	%
Rates and annual charges revenue	24.6	24.0	 2.5
Grants and contributions revenue	60.4	35.2	 71.6
Operating result from continuing operations	40.2	12.4	 224.2

Net operating result before capital grants and contributions	1.6	-5.6	 128.6
--	-----	------	---

Rates and annual charges revenue (\$24.6 million) increased by \$0.6 million (2.5 per cent) in 2021–22 due to an:

- IPART annual rate increase of 2.0 per cent
- increase in rateable properties by 0.6 per cent (11,316 rateable properties in 2021-2022 compared to 11,245 properties last year).

Grants and contributions revenue (\$60.4 million) increased by \$25.2 million (71.6 per cent) in 2021–22 due to an increase of:

- \$19.1 million of developer contributions recognised during the year
- \$2.7 million of grants recognised received for financial assistance grants
- \$2.9 million in developer contributions for planning agreements, amenities/services and other developer contributions.

The Council's operating result from continuing operations (\$40.2 million including depreciation and amortisation expense of \$18.1 million) was \$27.8 million higher than the 2020–21 result.

The increase in total income of \$29.4 million from continuing operations arose due to:

- \$0.6 million increase in rates and annual charges
- \$25.2 million decrease in grants and contributions revenue
- \$2.6 million decrease in user charges and fees
- \$0.8 million increase in other revenue
- \$0.1 million decrease in interest and investment income
- \$0.1 million increase in other income

The increase in total expenses of \$1.5 million was mainly due to:

- \$2.7 million decrease in employee benefits and on-costs
- \$2.8 million increase in materials and services
- \$1.2 million increase in depreciation, amortisation and impairment of non-financial assets
- \$0.2 million decrease in other expenses
- \$0.6 million increase in net gains from disposal of assets.

The net operating result before capital grants and contributions (\$1.6 million) was \$7.2 million higher than the 2020–21 result (loss of \$5.6 million)

STATEMENT OF CASH FLOWS

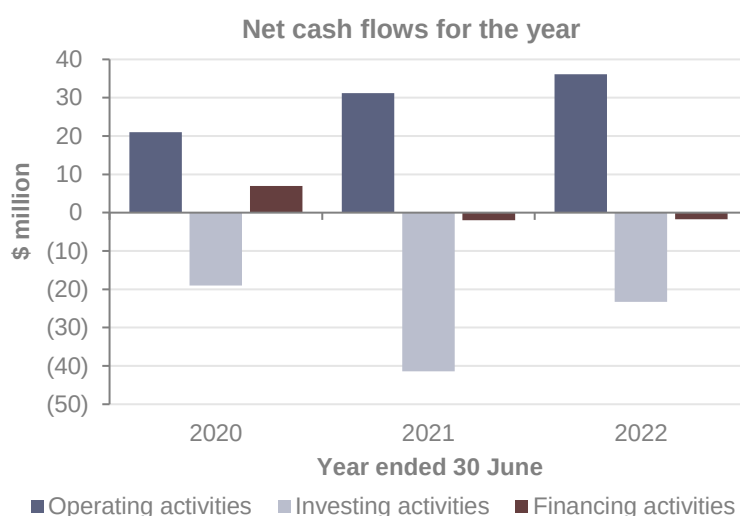
The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of the Council during the year.

The Council's cash increased by \$11.0 million at the close of this year.

Cash inflows from operating activities increased by \$4.9 million from \$31.2 million in 2020-21 to \$36.1 million in 2021-22. This is due to an increase in cash inflow from receipts of \$3.7 million combined with a decrease in cash outflow from expenses by \$1.2 million.

The decrease in cash outflows from investing activities decreased by \$18.0 million, from \$41.4 million in 2020-21 to \$23.4 million in 2021-22. This was mainly due to there being an acquisition of term deposits of \$13.1 million in 2020-21 while there was a redemption of term deposits of \$6.2 million in 2021-22.

Cash outflows from financing activities has decreased by \$0.3 million from \$2.0 million in 2020-21 to \$1.7 million in 2021-22. This is due to a decrease in repayment of borrowings.



FINANCIAL POSITION

Cash and investments

Cash and investments	2022	2021	Commentary
	\$m	\$m	
Total cash, cash equivalents and investments	41.6	36.8	- External restrictions include unspent specific purpose grants and loans, developer contributions, water and sewer funds, domestic waste management charges and regional waste group. The externally restricted cash balance has increased by approximately \$3.2 million, mainly due to the higher water and sewer fund and developer contributions received slightly netted off with decrease in unspent specific purpose loans. - Balances are internally restricted due to Council policy or decisions for forward plans including works program. Internal restrictions decreased by \$1.2 million. - Unrestricted cash balance was negative \$2.8 million in 2021 and improved to positive \$0.1 million in 2022.
Restricted and allocated cash, cash equivalents and investments:			
• External restrictions	35.3	32.1	
• Internal allocations	6.2	7.5	
• Unrestricted	0.1	(2.8)	

PERFORMANCE

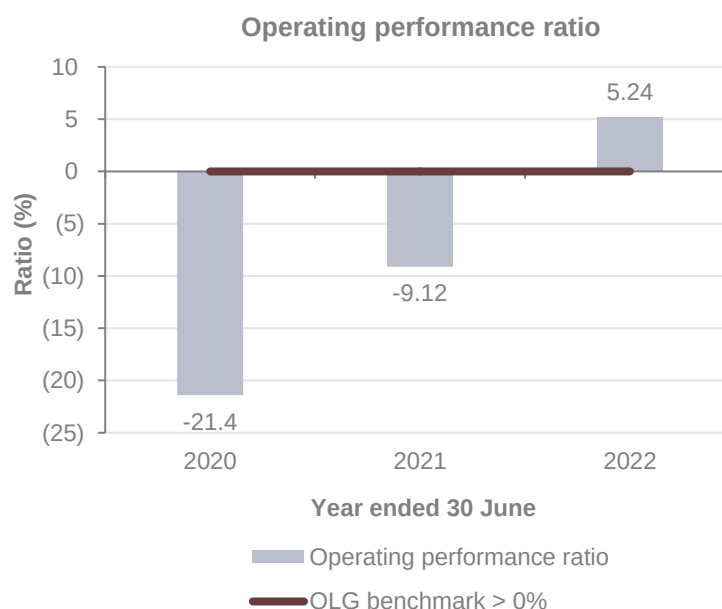
Performance measures

The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning and Environment.

Operating performance ratio

The Council exceeded the OLG benchmark for the current reporting period.

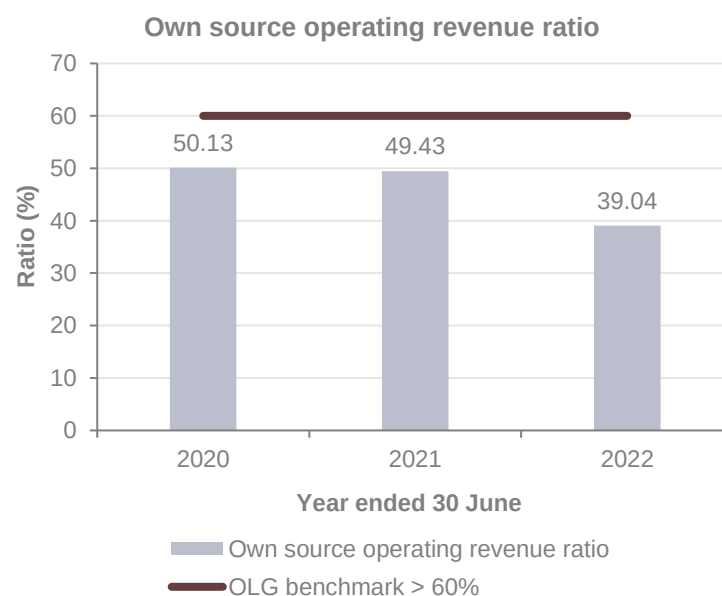
The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.



Own source operating revenue ratio

The Council did not meet the OLG benchmark for the current reporting period.

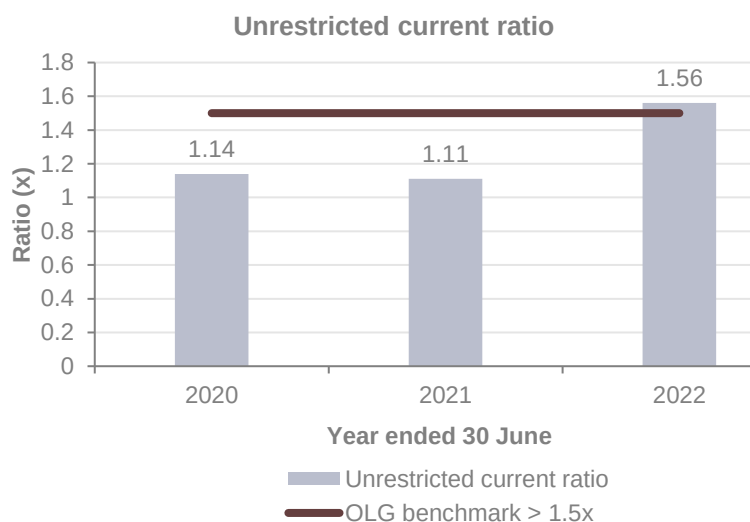
The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.



Unrestricted current ratio

The Council exceeded the OLG benchmark for the current reporting period.

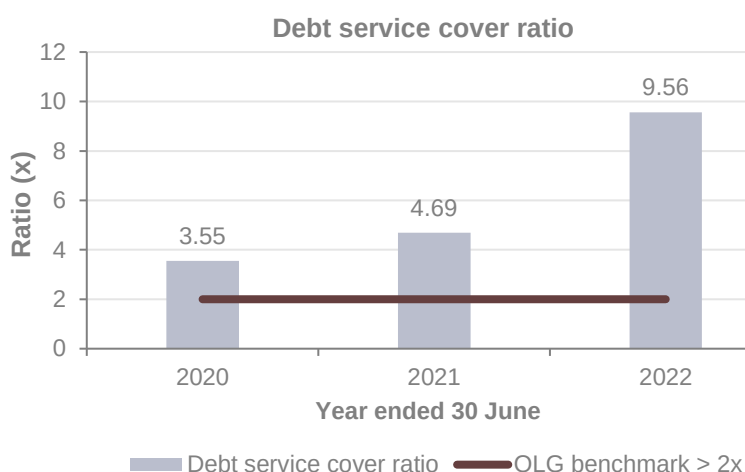
The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.



Debt service cover ratio

The Council exceeded the OLG benchmark for the current reporting period.

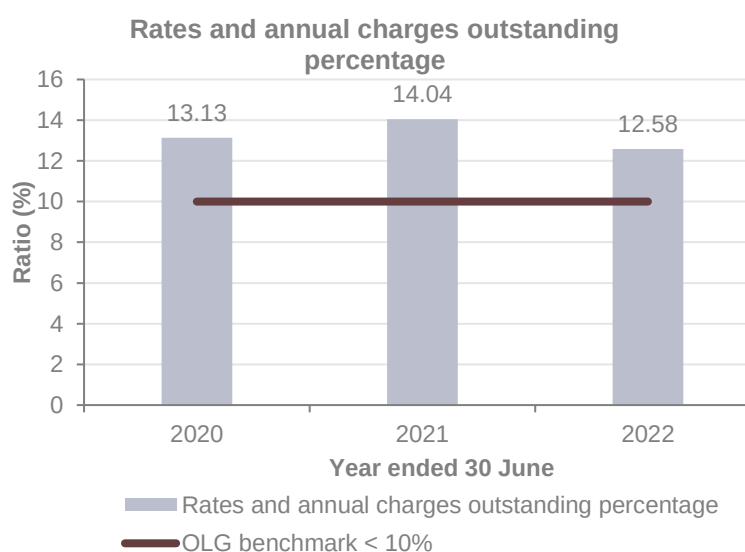
The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.



Rates and annual charges outstanding percentage

The Council did not meet the OLG benchmark for the current reporting period.

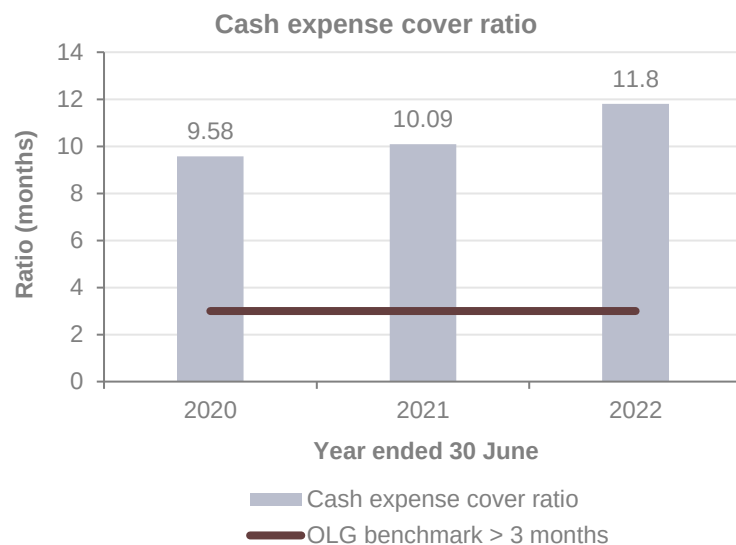
The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for regional and rural councils.



Cash expense cover ratio

The Council exceeded the OLG benchmark for the current reporting period.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



Infrastructure, property, plant and equipment renewals

Infrastructure, property, plant and equipment renewals for 2021-22 amounted to \$38.7 million, a significant increase of \$15.7 million from prior year balance of \$23.0 million. The largest increases were noted in capital work in progress (\$3.9 million), roads (\$16.8 million) and sewerage network (\$2.4 million).

OTHER MATTERS

Legislative compliance

My audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.

The Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the GPFS
- staff provided all accounting records and information relevant to the audit.

Lisa Berwick
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

Cc: Ms Marg Roles, Mayor
Mr Ron Gillard, Chair of the Audit, Risk and Improvement Committee

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2022



Special Purpose Financial Statements

for the year ended 30 June 2022

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2022

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

- the NSW Government Policy Statement 'Application of National Competition Policy to Local Government', • the Division of Local Government Guidelines 'Pricing and Costing for Council Businesses —A Guide to Competitive Neutrality', • the Local Government Code of Accounting Practice and Financial Reporting, • the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 14 September 2022.



Clr Margaret Roles
Mayor
28 February 2023



Anthony O'Reilly
General Manager
28 February 2023



Clr Alison Foreman
Councillor
28 February 2023



Norman Smith
Responsible Accounting Officer
28 February 2023

Hilltops Council

Income Statement of water supply business activity

for the year ended 30 June 2022

\$ '000	2022	2021
Income from continuing operations		
Access charges	3,320	3,169
User charges	5,266	4,838
Fees	58	9
Interest and investment income	112	113
Grants and contributions provided for operating purposes	89	89
Total income from continuing operations	8,845	8,218
Expenses from continuing operations		
Employee benefits and on-costs	865	883
Borrowing costs	48	54
Materials and services	2,418	2,384
Depreciation, amortisation and impairment	1,027	1,005
Water purchase charges	2,900	2,651
Total expenses from continuing operations	7,258	6,977
Surplus (deficit) from continuing operations before capital amounts	1,587	1,241
Grants and contributions provided for capital purposes	173	160
Surplus (deficit) from continuing operations after capital amounts	1,760	1,401
Surplus (deficit) from all operations before tax	1,760	1,401
Less: corporate taxation equivalent (25%) [based on result before capital]	(397)	(323)
Surplus (deficit) after tax	1,363	1,078
Plus opening retained profits	57,205	55,804
Less:		
– Corporate taxation equivalent	397	323
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	58,965	57,205
Return on capital %	3.8%	3.0%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	1,363	1,078
Less: capital grants and contributions (excluding developer contributions)	(173)	(160)
Surplus for dividend calculation purposes	1,190	918
Potential dividend calculated from surplus	595	459

Hilltops Council

Income Statement of sewerage business activity

for the year ended 30 June 2022

\$ '000	2022	2021
Income from continuing operations		
Access charges	4,574	4,374
User charges	24	27
Liquid trade waste charges	18	–
Fees	15	14
Interest and investment income	59	42
Other income	2	–
Total income from continuing operations	4,692	4,457
Expenses from continuing operations		
Employee benefits and on-costs	382	595
Borrowing costs	382	408
Materials and services	965	970
Depreciation, amortisation and impairment	1,418	1,364
Total expenses from continuing operations	3,147	3,337
Surplus (deficit) from continuing operations before capital amounts	1,545	1,120
Grants and contributions provided for capital purposes	73	49
Surplus (deficit) from continuing operations after capital amounts	1,618	1,169
Surplus (deficit) from all operations before tax	1,618	1,169
Less: corporate taxation equivalent (25%) [based on result before capital]	(386)	(291)
Surplus (deficit) after tax	1,232	878
Plus opening retained profits	41,165	39,996
Less:		
– Corporate taxation equivalent	386	291
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	42,783	41,165
Return on capital %	4.0%	3.4%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	1,232	878
Less: capital grants and contributions (excluding developer contributions)	(73)	(49)
Surplus for dividend calculation purposes	1,159	829
Potential dividend calculated from surplus	579	415

Hilltops Council

Income Statement – South West Regional Waste Management Group

for the year ended 30 June 2022

\$ '000	2022 Category 2	2021 Category 2
Income from continuing operations		
Interest and investment income	16	23
Grants and contributions provided for operating purposes	1,988	1,820
Total income from continuing operations	2,004	1,843
Expenses from continuing operations		
Employee benefits and on-costs	7	7
Materials and contracts	1,579	1,164
Depreciation, amortisation and impairment	122	76
Total expenses from continuing operations	1,708	1,247
Surplus (deficit) from continuing operations before capital amounts	296	596
Surplus (deficit) from continuing operations after capital amounts	296	596
Surplus (deficit) from all operations before tax	296	596
Less: corporate taxation equivalent (25%) [based on result before capital]	(74)	(155)
SURPLUS (DEFICIT) AFTER TAX	222	441
Plus opening retained profits	5,169	4,573
– Corporate taxation equivalent	74	155
Closing accumulated surplus	5,465	5,169
Return on capital %	68.4%	108.0%

Hilltops Council

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2022

\$ '000	2022 Category 2	2021 Category 2
Expenses from continuing operations		
Employee benefits and on-costs	1	—
Materials and contracts	46	18
Total expenses from continuing operations	47	18
Surplus (deficit) from continuing operations before capital amounts	(47)	(18)
Surplus (deficit) from continuing operations after capital amounts	(47)	(18)
Surplus (deficit) from all operations before tax	(47)	(18)
SURPLUS (DEFICIT) AFTER TAX	(47)	(18)
Plus opening retained profits	76	94
Closing accumulated surplus	29	76
Subsidy from Council	47	18

Hilltops Council

Statement of Financial Position of water supply business activity

as at 30 June 2022

\$ '000	2022	2021
ASSETS		
Current assets		
Cash and cash equivalents	10,375	9,100
Investments	8,064	8,064
Receivables	2,888	2,805
Total current assets	21,327	19,969
Non-current assets		
Receivables	213	—
Infrastructure, property, plant and equipment	42,827	43,477
Total non-current assets	43,040	43,477
Total assets	64,367	63,446
LIABILITIES		
Current liabilities		
Payables	628	495
Borrowings	342	337
Employee benefit provisions	179	233
Total current liabilities	1,149	1,065
Non-current liabilities		
Borrowings	2,547	2,890
Total non-current liabilities	2,547	2,890
Total liabilities	3,696	3,955
Net assets	60,671	59,491
EQUITY		
Accumulated surplus	58,964	57,205
Revaluation reserves	1,707	2,286
Total equity	60,671	59,491

Hilltops Council

Statement of Financial Position of sewerage business activity

as at 30 June 2022

\$ '000	2022	2021
ASSETS		
Current assets		
Cash and cash equivalents	5,923	5,701
Investments	1,075	1,075
Receivables	687	944
Total current assets	7,685	7,720
Non-current assets		
Receivables	1	—
Infrastructure, property, plant and equipment	48,113	45,571
Total non-current assets	48,114	45,571
Total assets	55,799	53,291
LIABILITIES		
Current liabilities		
Payables	69	43
Borrowings	697	750
Employee benefit provisions	108	124
Total current liabilities	874	917
Non-current liabilities		
Borrowings	8,463	8,952
Total non-current liabilities	8,463	8,952
Total liabilities	9,337	9,869
Net assets	46,462	43,422
EQUITY		
Accumulated surplus	42,781	41,163
Revaluation reserves	3,681	2,259
Total equity	46,462	43,422

Hilltops Council

Statement of Financial Position – South West Regional Waste Management Group

as at 30 June 2022

\$ '000	2022 Category 2	2021 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	4,981	3,689
Receivables	161	926
Total current assets	5,142	4,615
Non-current assets		
Infrastructure, property, plant and equipment	433	552
Total non-current assets	433	552
Total assets	5,575	5,167
LIABILITIES		
Current liabilities		
Payables	111	–
Total current liabilities	111	–
Total liabilities	111	–
NET ASSETS	5,464	5,167
EQUITY		
Accumulated surplus	5,462	5,165
Revaluation reserves	2	2
Total equity	5,464	5,167

Hilltops Council

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2022

\$ '000	2022 Category 2	2021 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	30	76
Receivables	–	1
Total current assets	30	77
Total assets	30	77
LIABILITIES		
Current liabilities		
Payables	1	1
Total current liabilities	1	1
Total liabilities	1	1
NET ASSETS	29	76
EQUITY		
Accumulated surplus	29	76
Total equity	29	76

Note – Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2005* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Slopes Regional Waste Management Group

b. South West Rural Fire Service

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private

Note – Significant Accounting Policies (continued)

sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **25%** (20/21 26%)

Land tax – the first \$822,000 of combined land values attracts **0%**. For the combined land values in excess of \$822,000 up to \$5,026,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$5,026,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **4.85%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with the Department of Planning, Industry & Environment – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the Best Practice Management of Water Supply and Sewer Guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to the DPIE – Water guidelines is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 25% (20/21 26%).

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 25% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Note – Significant Accounting Policies (continued)

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 3.66% at 30/6/22.

(iii) Dividends

Council is not required to pay dividends to either itself as owner of a range of businesses, or to any external entities.

A local government water supply and sewerage business is permitted to pay annual dividends from their water supply or sewerage business surpluses. Each dividend must be calculated and approved in accordance with the DPIE – Water guidelines and must not exceed 50% of the relevant surplus in any one year, or the number of water supply or sewerage assessments at 30 June 2022 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the Best Practice Management of Water Supply and Sewer Guidelines, a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are submitted to DPIE – Water.



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Hilltops Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2022, the Statement of Financial Position of each Declared Business Activity as at 30 June 2022 and the Significant accounting policies note.

The Declared Business Activities of the Council are:

- Water supply
- Sewerage
- South West Regional Waste Management Group
- South West Rural Fire Zone

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's Declared Business Activities as at 30 June 2022, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Significant accounting policies note and the Local Government Code of Accounting Practice and Financial Reporting 2021–22 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Significant accounting policies note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2022 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Significant accounting policies note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Lisa Berwick', with a stylized flourish at the end.

Lisa Berwick
Delegate of the Auditor-General for New South Wales

28 February 2023
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2022



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Hilltops Council

Permissible income for general rates

\$ '000	Notes	Calculation 2021/22	Calculation 2022/23
Notional general income calculation ¹			
Last year notional general income yield	a	13,745	14,022
Plus or minus adjustments ²	b	—	53
Notional general income	$c = a + b$	13,745	14,075
Permissible income calculation			
Special variation percentage ³	d	0.00%	1.80%
Or rate peg percentage	e	2.00%	0.70%
Plus special variation amount	$h = d \times (c + g)$	—	253
Or plus rate peg amount	$i = e \times (c + g)$	275	99
Sub-total	$k = (c + g + h + i + j)$	14,020	14,427
Plus (or minus) last year's carry forward total	l	112	110
Sub-total	$n = (l + m)$	112	110
Total permissible income	$o = k + n$	14,132	14,537
Less notional general income yield	p	14,022	14,537
Catch-up or (excess) result	$q = o - p$	110	—
Carry forward to next year ⁶	$t = q + r + s$	110	—

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) The 'special variation percentage' is inclusive of the rate peg percentage and where applicable, the Crown land adjustment.
- (6) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Hilltops Council (the Council) for the year ending 30 June 2023.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2021–22 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2022 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2022'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in black ink, appearing to read 'Lisa Berwick', with a stylized flourish at the end.

Lisa Berwick
Delegate of the Auditor-General for New South Wales

28 February 2023
SYDNEY

Hilltops Council

Report on infrastructure assets as at 30 June 2022

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2021/22 Required maintenance ^a	2021/22 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Specialist Buildings	155	5	142	271	10,665	25,287	8.0%	7.0%	82.0%	3.0%	0.0%
	Non Specialised Buildings	1,551	35	485	504	52,194	104,137	6.0%	22.0%	57.0%	7.0%	8.0%
	Specialised Buildings Water	—	—	1	—	16	18	100.0%	0.0%	0.0%	0.0%	0.0%
	Specialised Buildings Sewer	24	12	4	—	41	137	26.0%	0.0%	30.0%	0.0%	44.0%
	Sub-total	1,730	52	632	775	62,916	129,579	6.4%	19.0%	61.8%	6.2%	6.5%
Other structures	Other structures	110	36	94	272	10,826	17,079	67.0%	6.0%	23.0%	2.0%	2.0%
	Sub-total	110	36	94	272	10,826	17,079	67.0%	6.0%	23.0%	2.0%	2.0%
Roads	Bridges	579	117	760	506	42,569	74,574	45.0%	21.0%	28.0%	4.0%	2.0%
	Footpaths	23	4	61	98	8,863	11,984	63.0%	18.0%	17.0%	1.0%	1.0%
	K&G	121	53	142	107	9,193	19,097	23.0%	15.0%	58.0%	1.0%	3.0%
	Roads	5,036	1,319	4,487	5,801	295,912	450,678	44.0%	32.0%	18.0%	4.0%	2.0%
	Earthworks	—	—	—	—	129,481	129,481	100.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	5,759	1,493	5,450	6,512	485,701	685,814	54.4%	24.0%	16.8%	3.1%	1.6%
Water supply network	Water supply network	3,138	1,302	551	632	36,416	82,488	9.0%	36.0%	43.0%	0.0%	12.0%
	Reservoirs	1,228	470	98	62	4,595	8,696	29.0%	8.0%	20.0%	17.0%	26.0%
	Pump Stations	77	—	51	54	1,154	2,119	33.0%	30.0%	19.0%	18.0%	0.0%
	Other	—	—	91	232	334	630	21.0%	20.0%	59.0%	0.0%	0.0%
	Sub-total	4,443	1,772	791	980	42,499	93,933	11.5%	33.2%	40.4%	2.0%	12.9%
Sewerage network	Sewerage network	1,975	24	261	198	28,577	53,612	23.0%	13.0%	42.0%	18.0%	4.0%
	Treatment Plant	3,783	1,891	403	572	16,447	31,064	61.0%	1.0%	8.0%	0.0%	30.0%
	Pump Stations	201	84	55	45	862	2,220	5.0%	13.0%	57.0%	7.0%	18.0%
	Other	758	379	140	61	994	2,381	0.0%	20.0%	0.0%	0.0%	80.0%
	Sub-total	6,717	2,378	859	876	46,880	89,277	35.2%	9.0%	29.4%	11.0%	15.4%

Hilltops Council

Report on infrastructure assets as at 30 June 2022 (continued)

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2021/22 Required maintenance ^a	2021/22 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Stormwater drainage	Stormwater drainage	82	1	48	67	9,097	27,136	2.0%	5.0%	92.0%	1.0%	0.0%
	Stormwater Pits	74	—	67	4	2,471	4,615	27.0%	3.0%	61.0%	8.0%	1.0%
	Stormwater Headwalls	68	—	2	—	799	1,281	56.0%	2.0%	16.0%	26.0%	0.0%
	Pollutant Traps	—	—	7	—	167	188	0.0%	0.0%	100.0%	0.0%	0.0%
	Other	—	—	19	—	167	337	0.0%	0.0%	100.0%	0.0%	0.0%
	Sub-total	224	1	143	71	12,701	33,557	7.5%	4.5%	85.0%	2.9%	0.1%
Open space / recreational assets	Swimming pools	67	—	377	652	9,857	15,317	3.0%	69.0%	25.0%	3.0%	0.0%
	Other	61	—	235	384	10,866	17,449	58.0%	19.0%	20.0%	3.0%	0.0%
	Sub-total	128	—	612	1,036	20,723	32,766	32.3%	42.4%	22.3%	3.0%	0.0%
Total – all assets		19,111	5,732	8,581	10,522	682,246	1,082,005	41.4%	22.7%	27.7%	4.0%	4.2%

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Report on infrastructure assets as at 30 June 2022

Infrastructure asset performance indicators (consolidated) *

\$ '000	Amounts 2022	Indicator 2022	2021	Indicators 2020	2019	Benchmark
Buildings and infrastructure renewals ratio						
Asset renewals ¹	33,400					
Depreciation, amortisation and impairment	15,175	220.10%	124.92%	58.87%	57.15%	>= 100.00%
Infrastructure backlog ratio						
Estimated cost to bring assets to a satisfactory standard	19,111					
Net carrying amount of infrastructure assets	686,994	2.78%	2.49%	3.60%	4.12%	< 2.00%
Asset maintenance ratio						
Actual asset maintenance	10,522					
Required asset maintenance	8,581	122.62%	124.81%	98.82%	99.51%	> 100.00%
Cost to bring assets to agreed service level						
Estimated cost to bring assets to an agreed service level set by Council	5,732	0.53%	0.45%	0.67%	0.74%	
Gross replacement cost	1,082,005					

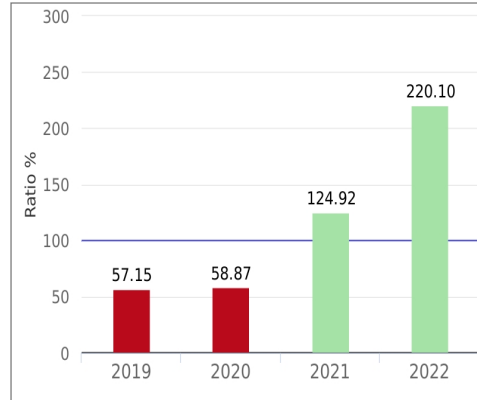
(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Report on infrastructure assets as at 30 June 2022

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result

21/22 ratio 220.10%

A major increase in capital expenditure on asset renewals in this financial year has seen a significant improvement in the buildings and infrastructure renewals ratio this year. This is assisted by contributed assets of \$19.2M. Council will need to reassess investment in renewal assets in the long term financial plan in order to maintain the benchmark.

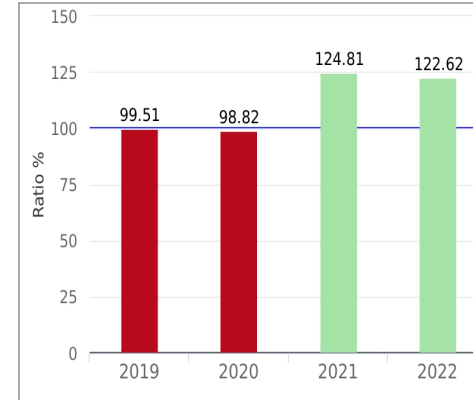
Benchmark: — $\geq 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result

21/22 ratio 122.62%

Council performance sits at or above the industry benchmark of 100% and indicates that Council is investing sufficient funds to prevent a growth in its infrastructure backlog.

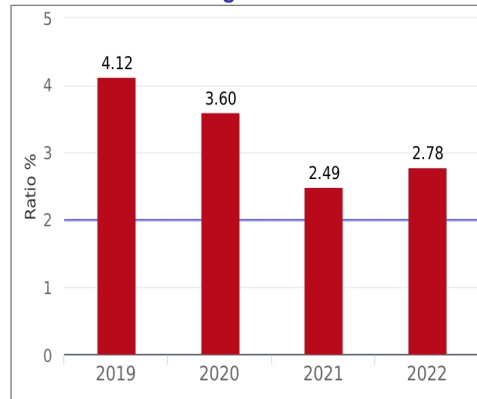
Benchmark: — $> 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result

21/22 ratio 2.78%

Continued investment in infrastructure in 2020, 2021 and 2022 has resulted in a continued improvement in this ratio over the past two years. The increased capital expenditure has been facilitated by significant increases in capital government grants. Despite the increase in capital expenditure Council is still operating outside the industry benchmark.

Benchmark: — $< 2.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result

21/22 ratio 0.53%

Council has maintained its performance on the cost to bring assets to an agreed service level compared with the previous financial years. As the level of Council's investment in new assets has been increasing it is expected that this ratio should continue to show some improvement.

Hilltops Council

Report on infrastructure assets as at 30 June 2022

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2022	2021	2022	2021	2022	2021	
Buildings and infrastructure renewals ratio							
Asset renewals ¹							
Depreciation, amortisation and impairment	233.81%	138.06%	95.69%	129.26%	183.12%	10.09%	>= 100.00%
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	1.33%	1.40%	10.45%	7.27%	14.33%	11.07%	< 2.00%
Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	125.03%	129.25%	123.89%	125.91%	101.98%	87.60%	> 100.00%
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	0.18%	0.18%	1.89%	1.55%	2.66%	2.22%	

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.